

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated Financial Statements
For the financial year ended
31 December 2025
Audit's Report

Juhayna Food Industries
(An Egyptian Joint Stock Company)

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Hazem Hassan

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Translation from Arabic

Auditor's report

To: The shareholders' of Juhayna Food Industries S.A.E

Introduction

We have audited the consolidated statement of financial position of Juhayna Food Industries S.A.E as of 31 December 2025, and the related consolidated statements of income, comprehensive income, changes in equity and cash flows for the financial year then ended, and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

These consolidated financial statements are the responsibility of the Company's management. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Egyptian Accounting Standards and in the light of the prevailing Egyptian laws, management responsibility includes, designing, implementing and maintaining internal control relevant to the preparation and fair presentation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error; management responsibility also includes selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with Egyptian Standards on Auditing and in the light of provisions of applicable Egyptian laws. Those standards require that we comply with ethical requirements, and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditors judgment, including the assessment of the risk of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.



Hazem Hassan

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Juhayna Food Industries S.A.E as of 31 December 2025, and of its consolidated financial performance and cash flows for the year then ended in accordance with the Egyptian Accounting Standards and the Egyptian laws and regulations relating to the preparation of these consolidated financial statements.

Emphasis of the matter

Without qualifying our opinion, we draw attention to the following:

- As mentioned in detail in note. (18) of the accompanying notes to the consolidated financial statements, which describes that one of the merged subsidiaries has a dispute regarding its tax exemption for a period of ten years from 2009 to 2018. A decision was issued by the Appeal Committee not to recognize the tax exemption for this merged subsidiary and to subject it to tax for the years 2009 to 2014. The merged subsidiary has filed a lawsuit to contest the decision of the Appeal Committee regarding the cancellation of the tax exemption granted by the decision of the Chairman of the General Investment Authority. The merged subsidiary, along with its legal and tax advisors, has studied the subsidiary's entitlement to this exemption, and the opinion concluded that the merged subsidiary is likely to receive a ruling in its favor. Therefore, no provision has been made for any obligation related to this matter, and it is considered a possible obligation for the merged subsidiary.

Samy Abdelhafiz Ahmed Ibrahim
KPMG Hazem Hassan
Public Accountants & Consultants

Cairo: March 12, 2026

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated statement of financial position
As of 31 December 2025

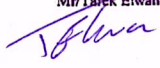
Translated from Arabic

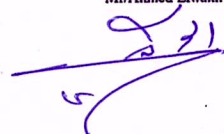
<u>L.E</u>	<u>Note No.</u>	<u>31/12/2025</u>	<u>31/12/2024</u>
Assets			
Non-current assets			
Property, plant and equipment	(14)	5 175 562 196	3 886 899 018
Projects under construction	(15)	2 722 175 926	1 511 945 561
Biological assets	(16) - (17-1)	574 493 531	445 704 631
Equity accounted investees	(12)	-	18 025 552
Investment measured at amortized cost	(13-2)	109 946 586	-
Right of use assets	(31-2)	184 421 330	93 038 704
Good will	(35)	97 092 890	97 092 890
Other long term asset		690 785	699 057
Non-current assets		8 864 383 244	6 053 405 413
Current assets			
Inventory	(19)	5 815 744 221	4 177 070 922
Trade and other receivables	(20)	2 033 905 286	1 501 832 833
Due from related party	(34 -1)	-	3 421 436
Other biological assets	(17-2)	66 662 132	43 487 421
Investment measured at amortized cost	(13-1)	537 771 276	-
Cash and cash equivalents	(21)	1 091 755 742	1 811 244 599
Current assets		9 545 838 657	7 537 057 211
Total assets		18 410 221 901	13 590 462 624
Equity			
Issued and paid up capital	(22)	1 176 756 353	941 405 082
Legal reserve		-	742 112 963
General reserve - issuance premium	(23-1)	-	330 920 428
Other reserve	(23-3)	259 470 145	-
Retained earnings		6 595 203 300	4 324 257 529
Total equity attributable to owners of the company		8 031 429 798	6 338 696 002
Non-controlling interest		1 114 421	628 468
Total equity		8 032 544 219	6 339 324 470
Non-current liabilities			
Loans	(24-1)	1 542 076 348	578 066 880
Lease contract liabilities	(31-1)	156 429 712	84 041 450
Deferred tax liabilities	(28-1)	509 294 125	387 421 265
Deferred income	(36)	386 954	2 199 658
Non-current liabilities		2 208 187 139	1 051 729 253
Current liabilities			
Provisions	(26)	130 598 404	228 224 163
Bank credit facilities	(25)	5 330 641 186	2 909 495 624
Creditors and other credit balances	(27)	2 343 539 038	2 006 712 301
Income tax liabilities	(28-2)	102 308 058	712 162 570
Due to related party	(34-2)	28 836 424	-
Lease contracts liabilities	(31-1)	52 958 214	67 487 158
Loans	(24-1)	178 796 516	271 503 629
Deferred income	(37)	1 812 703	3 823 456
Current liabilities		8 169 490 543	6 199 408 901
Total liabilities		10 377 677 682	7 251 138 154
Total equity and total liabilities		18 410 221 901	13 590 462 624

The accompanying notes from No.(1) to No.(40) form an integral part of these consolidated financial statements and should be read therewith.

Deputy CFO
Mr/Ibrahim Badr

Auditor's Report "attached"

CFO
Mr/Tarek Elwan


Chairman
Mr/Ahmed Elwakil


Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated statement of profit or loss
For the financial year ended in 31 December 2025

Translated from Arabic

		31/12/2025	31/12/2024
		L.E.	L.E.
Net sales	(11 -3)	29 984 446 222	24 302 616 048
Cost of sales	(5)	(23 103 562 055)	(16 912 916 624)
Gross profit		6 880 884 167	7 389 699 424
Other operating income	(6)	325 638 100	332 938 371
Selling and Distribution expenses	(7)	(2 736 787 707)	(2 159 669 231)
General and administrative expenses	(8)	(831 126 207)	(659 201 157)
Net (Losses) of trade and other receivables	(26)	7 156 493	(3 081 048)
Other expenses	(9)	(72 472 752)	(207 708 844)
Results from operating activities		3 573 292 094	4 692 977 515
Share of net (Loss) /profit of Equity accounted investees		-	2 355 482
Net finance (cost)	(10)	(1 168 793 931)	(596 428 158)
Loss on sale of investment at FV through profit or loss	(38)	-	(522 059 933)
Net profit for the year before income tax		2 404 498 163	3 576 844 906
Current income tax	(28-4)	(395 997 704)	(779 474 208)
Defferd tax		(98 405 624)	(61 976 182)
Net profit for the year after tax		1 910 094 835	2 735 394 516
Distributed as follows			
Owners of the company		1909 608 115	2735 294 169
Non-controlling interests		486 720	100 347
		1 910 094 835	2 735 394 516
Earning per share for the year (L.E /share)	(36)	1.38	2.32

The accompanying notes from No.(1) to No.(40) form an integral part of these consolidated financial statements and should be read therewith.

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated statement of comprehensive income
For the financial year ended in 31 December 2025

Translated from Arabic

	Note No.	31/12/2025	31/12/2024
		L.E.	L.E.
Net profit for the year after tax		1 910 094 835	2 735 394 516
Losses of foreign currency evaluation (EAS 13 - appendix H)		-	(344 814 387)
Tax Impact (EAS 13 - appendix H)		-	(3 677 680)
Total comprehensive income		1 910 094 835	2 386 902 449
Distributed as follows			
Parent owners of the company		1 909 608 115	2 386 802 102
Non-controlling interests		486 720	100 347
		1 910 094 835	2 386 902 449

The accompanying notes from No.(1) to No.(40) form an integral part of these consolidated financial statements and should be read therewith.

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated statement of changes in equity
For the financial year ended 31 December 2025

Translated from Arabic

	Issued & paid up capital L.E	Legal reserve L.E	General reserve- issuance premium L.E	Other reserve L.E	Retained earnings L.E	Non-controlling interest L.E	Total L.E
Balance as at 1 January 2024	941 405 082	742 112 963	330 920 428	-	2 233 885 644	1 444 468	4 249 768 585
Total other comprehensive income for the year ended 31 December 2024	-	-	-	-	2 386 802 102	100 347	2 386 902 449
<u>Transaction with owners of the company</u>					-	-	
Shareholder distributions	-	-	-	-	(188 281 016)	-	(188 281 016)
Employee distributions and board of directors bonus	-	-	-	-	(103 276 807)	-	(103 276 807)
Holding Company's share in reserves of subsidiaries	-	-	-	-	(4 872 394)	(916 347)	(5 788 741)
Balance as at 31 December 2024	<u>941 405 082</u>	<u>742 112 963</u>	<u>330 920 428</u>	<u>-</u>	<u>4 324 257 529</u>	<u>628 468</u>	<u>6 339 324 470</u>
Balance as at 1 January 2025 (1)	941 405 082	742 112 963	330 920 428	-	4 324 257 529	628 468	6 339 324 470
Total comprehensive income for the year from 27/2/2025 to 31/12/2025 (2)	-	-	-	-	1909 608 115	486 720	1 910 094 835
<u>Transaction with owners of the company</u>	-	-	-	-	-	-	-
Closure of Net Equity of Merged Companies as of 31 December 2023 (Merger Date)	-	-	-	257 088 063	2519 100 058	-	2 776 188 121
Dividends Distributed During 2024 by the Merged Companies	-	-	-	-	(94 774 825)	-	(94 774 825)
Investment Cost in the Merged Companies	-	-	-	-	(1449 362 233)	-	(1 449 362 233)
Closure of Legal Reserve to Merger Surplus	-	(742 112 963)	-	-	470 702 541	-	(271 410 422)
Closure of Retained Earnings of the Merging Company	-	-	-	-	796 818 754	-	796 818 754
Impact of Land Revaluation in Al Marwa Food Industries Company	-	-	-	2 382 082	-	-	2 382 082
Acquisition's Adjustments	-	-	-	-	767	(767)	-
Closure of Share Premium	-	-	(330 920 428)	-	330 920 428	-	-
Capitalization of merger reserve	235 351 271	-	-	-	(235 351 271)	-	-
The holding company's share of reserves and carried forward profits of subsidiaries	-	-	-	-	(1416 777 044)	-	(1416 777 044)
Total adjustments arising from a merger process (3)	<u>235 351 271</u>	<u>(742 112 963)</u>	<u>(330 920 428)</u>	<u>259 470 145</u>	<u>2 830 885 290</u>	<u>485 953</u>	<u>2 253 159 268</u>
<u>Transactions with shareholders, and other transactions</u>							
Shareholder distributions	-	-	-	-	(282 421 523)	-	(282 421 523)
Employee distributions and board of directors bonus	-	-	-	-	(277 517 996)	-	(277 517 996)
Total transactions with company owners and others(4)	-	-	-	-	(559 939 519)	-	(559 939 519)
Balance as at 31 December 2025 (1+2+3+4)	<u>1 176 756 353</u>	<u>-</u>	<u>-</u>	<u>259 470 145</u>	<u>6 595 203 300</u>	<u>1 114 421</u>	<u>8 032 544 219</u>

Retained Earning include an amount 2 338 053 452 representing the merger reserve, which is non-distributable.
The notes from No.(1) to No.(40) are an integral part of these consolidated financial statements and should be read there to.

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Consolidated statement of cash flows
For the financial year ended 31 December

Translated from Arabic

	Note No.	31/12/2025 L.E.	31/12/2024 L.E.
Cash flows from operating activities			
Net profit for the year before income tax		2 404 498 163	3 576 844 906
Adjustments for:			
PPE depreciation	(14)	477 509 751	341 260 579
Capital (gain)	(6)	(8,213,374)	(89 628 064)
Amortization of Biological Wealth	(17-1)	12,720,800	33 384 102
Amortization of productive plant wealth		1 935 727	1 947 617
Cost of drying period		(157 740 179)	(151 511 783)
Net profits in equity accounted investees	(13)	-	(2 355 482)
Amortization of right of use	(23)	30 005 734	13 222 032
Lease liabilities interest	(23)	25 294 702	20 918 645
Biological wealth due to newborn	(17)	(30 815 000)	(29 497 760)
Gain of sale of Biological wealth	(6)	(46 311 098)	(30 325 947)
Investment Loss at fair value		-	522 059 933
Reversal of decrease inventory		(10 159 497)	-
Foreign currencies exchange differences	(10)	77 548 855	(160 336 394)
Interest income	(10)	(111 532 236)	(45 198 872)
Reversal of decrease Fixed assets		-	(10 679 293)
Finance interests & expenses	(10)	1 202 777 312	781 044 779
		3 867 519 660	4 771 148 998
Changes in:			
Inventories	(19)	(1 628 513 802)	(1 393 555 744)
Biological assets- Existing Agriculture		(23 174 711)	(13 122 081)
Trade and other receivables	(20)	(491 287 973)	(666 914 471)
Due to related parties	(34-2)	28 836 424	(17 871 750)
Creditors & other credit balances	(27)	536 799 006	(254 352 083)
Dividends paid to employees		(199 972 269)	(103 276 807)
Due from related parties		3 421 436	(661 272)
Change in assets held for the purpose of sale		-	1 610 291
Provisions	(26)	(97 625 759)	44 694 954
Net cash flows from operating activities		1 996 002 012	2 367 700 035
Income tax paid		(1 218 407 657)	(244 358 845)
		777 594 355	2 123 341 191
Cash flows from investing activities			
Acquisition of PPE & projects under construction	(14-15)	(2 979 726 835)	(2 356 922 136)
Proceeds from sale of PPE		4 889 833	94 144 357
Proceeds of Lease Liability		(121 388 360)	(67 294 238)
Proceeds from sale of biological wealth		70 384 012	73 458 040
Payment to plant wealth		-	(1 440 436)
Proceeds from compensation for livestock		19 264 935	15 443 882
Proceeds from the sale of productive plant wealth	(16-15)	-	3 332 837
Payment to plant wealth unproductive		(44 538 194)	(56 280 525)
Other noncurrent assets		8 272	(8 271)
acquisition adjustments		-	(5 788 741)
Investment measured at amortized cost		(109 946 586)	-
Investment measured at amortized cost		(537 771 276)	-
Payments for the purchase of shares		-	(831 200 397)
Proceeds from sale of shares		-	309 140 464
Proceeds from investment of intercompany		(10 049 544)	-
Net cash flows (used in) investing activities		(3 708 873 743)	(2 823 415 164)
Cash flows from financing activities			
Net proceeds from credit facilities	(25)	2 421 145 562	2 565 527 309
Paid of rental installement	(31)	32 564 616	18 803 993
(Payments for) bank loans	(24)	868 286 450	(57 934 141)
Interest proceeds from deposits		111 532 236	45 198 872
Gains from merged companies		341 010 356	-
Finance interests & expenses paid		(1 202 777 312)	(781 044 779)
Dividends paid to shareholders		(282 421 523)	(188 281 016)
Net cash flows from financing activities		2 289 340 385	1 602 270 238
Change in cash & cash equivalents during the year		(641 939 002)	902 196 265
Foreign currency exchange	(10)	(77 548 855)	(184 477 994)
Cash & cash equivalents at 1 January		1811 244 599	1093 526 328
Cash & cash equivalents at 31 December	(21)	1 091 756 742	1 811 244 599

The notes from No.(1) to No.(40) are an integral part of these consolidated financial statements and should be read there to.

Juhayna Food Industries
(An Egyptian Joint Stock Company)
Notes to the consolidated financial statements
For the financial ended 31 December 2025

1- Background

The Company was established in 1995 according to the Investment Law No. (230) of 1989 as replaced by the investment incentives and guarantees law No. (8) 1997 and the decree of the Minister of Economic and Foreign Trade No. 636 of 1994 approving the Company's establishment.

The Company was registered in the commercial registry under No. 100994 on 10/1/1995. Company's period is 50 years starting from the date of registration in the commercial registry.

The address of the Company's registered office is building no.2 Polygon Sodic West Sheikh Zayed Giza.

The factory address: 6th Oct. city industrial zone No. 1 plot No. 3940.

Mr. Ahmed El wakil is the Chairman of the Board of Directors.

The Company is considered a holding Company.

Merger of the group of industrial subsidiaries into the company.

The Extraordinary General Assembly of Juhayna Food Industries Company, held on December 26, 2024, decided to approve the merger of International Company for Modern Food Industries, the Egyptian Dairy Products Company, the Egyptian Food Industries Company Egyfood, and Al-Marwa Food Industries Company in the company.

This is based on the book value of the merging company and the merging companies according to the companies' financial statements on December 31, 2023, which is the date taken as the basis for the merger (Note 39)

The Company's purpose.

The company's purpose is to produce, manufacture, package and package all types of dairy products, all their derivatives, all kinds of cheeses, various fruit juices, drinks and iced materials, and to prepare, manufacture, package and package all types of foodstuffs and in general the manufacture of agricultural products.

The Extraordinary General Assembly held on December 26, 2024 approved amending Article No.3 of the company's bylaws so that the company's purpose is:

- Production manufacturing packaging and wrapping of all types of dairy products and their derivatives including all types of cheese and their derivatives.
- Production manufacturing packaging and wrapping of all types of juices juice pulp fruit and vegetable concentrates beverages frozen items jams preserved fruits and their derivatives.
- Refrigerated preservation of dairy products and juices and frozen preservation of juice concentrates.
- Establishment construction and operation of factories for the production preparation manufacturing and packaging of all types of food products and in general agricultural products.
- Establishment and operation of cold storage facilities for the preservation cooling freezing and storage of food products Company products agricultural crops vegetables and fruits for both the Company and third parties.
- Importation of all production inputs necessary to serve the Company's activities subject to applicable laws and regulations.
- Storage of the Company's products and other food items for the Company and third parties in compliance with all applicable laws regulations and required licenses.

In addition the Company may participate in merge with or acquire other companies or entities engaged in similar or complementary activities whether within Egypt or abroad in accordance with the provisions of the applicable laws.

Registration in the Stock Exchange

The Company is listed in Schedule (A) the Egyptian Stock Exchanges.

2- Basis of preparation

2-1 Statement of compliance with laws and regulation

The consolidated financial statements have been prepared in accordance with the Egyptian Accounting Standards ("EAS"), and in the light of prevailing Egyptian laws.

The consolidated financial statements were authorized for issue by the Board of Directors on 13 August 2025

2-2 Basis of measurement

- The consolidated financial statements have been prepared on the historical cost basis except some financial instruments are measured subsequently by either F.V or amortized cost.
- The financial statements have been prepared on going concern basis.

2-3 Functional and presentation currency

These consolidated financial statements are presented in Egyptian pound which represents the currency of the company.

2-4 Use of estimates and judgments

The preparation of consolidated financial statements in conformity with Egyptian Accounting Standards requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the year in which the estimate is revised and in any future periods affected.

Information about critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

- Accounting policy, no (3-10): lease classification.

Information about assumptions and estimation uncertainties that have a significant risk resulting in a material adjustment within the future financial statements are included in the following notes:

- Note (20): impairment of trade and other debit balances.
- Note (16): decrease in non-current assets.
- Note (26): Recognition and Measurement of Current and Deferred Tax Assets and Liabilities.

Note (1-4) : Biological Assets.

Note (25) : Provisions and Contingent Liabilities.

2-5 Estimates and Judgements

The Company uses estimates and assumptions related to the future, the accounting estimates rarely match the related actual outcome, and below are the estimates and assumptions with significant risk that could lead to important adjustment to the book value of the assets and liabilities in the next financial years.

Expected credit losses "ECL" on accounts receivable's balances.

The Company uses provision records to calculate expected credit losses for commercial customers; the provision rates are based on the customer Company's delayed days.

The provision record is initially based on the observed historical Group default rates; the Company calculates the matrix accurately to adjust the historical credit loss experiment with forward-looking information. For example, if the expected economic conditions (i.e. GDP and the overall inflation rate) are expected to deteriorate over the next year, which may increase the number of defaults in the industrial sector, the historical default rates are adjusted. At each reporting date, the historical default rates are updated and observed and changes in future-oriented estimates are analyzed.

The assessment of the relationship between the historical default rates that are observed, the expected economic conditions and the expected credit losses is a significant estimate. The experiment of the historical credit loss and expectations of the Company's economic conditions may not represent the actual default of the customer's payment in the future.

Impairment of non-current assets

At the end of each financial period, the Company assesses whether there is an indication that the carrying amount of any asset is lower than the recoverable amount and the extent of any impairment loss that may have happened and requires recognition. Determining the existence of impairment indicators requires the best possible estimates available to management based on the information obtained from the Company and through the market depending on previous experience.

When determining indicators for impairment in the asset, the Company estimates impairment loss using suitable valuation methods. Determining indicators for impairment and estimation of impairment value depends on elements that may vary from time to another in a way that may affect management's estimates.

Recognition and measurement of current and deferred tax assets and liabilities.

Income tax, whether current or deferred, is determined by the Company according to the requirements of Tax law.

Company's profits are subject to current income tax which implies the usage of material estimates to determine the total tax burden on income, and because it is hard to surely determine the final tax in some transactions through the financial period so the Company recognizes the deferred tax liability according to the estimate of the extent of final applicability of the transactions to tax and also the extent of a possibility of formation of additional tax during tax inspection. And when there are differences between the final result of tax inspection and previously recorded amounts, these differences are recognized in income tax and current tax liability in the period in which these differences are realized as it is considered as a change in accounting estimates.

To recognize deferred tax assets, the management uses assumptions about the extent of availability of sufficient future tax profits that allows the usage of recognized deferred tax assets and the Company uses assumptions related to the tax rate prevailing on the date of the separate financial statements which is expected to settle all tax assets and liabilities in the future.

This process requires using several complex estimates to estimate and determine the tax brackets and temporary discountable tax differences and subject to tax arising from the difference between the accounting basis and tax basis for some assets and liabilities, in addition to estimating the possibility of using deferred tax assets arising from deferred tax losses and this is along with performing estimates about future tax profits and the future plans for the operations of the Company.

Contingent Liabilities and Provisions

Management studies events and indicators that may give rise to an obligation for the company during its normal operating activities. Management uses such estimates and key assumptions to assess whether the recognition criteria for a liability are met in the standalone financial statements.

This includes analyzing available information to determine whether past events have resulted in a present obligation on the company and estimating the expected future cash outflows required to settle that obligation, as well as its timing. In addition, management selects the appropriate measurement basis to determine the value of the obligation with reasonable reliability.

3- **Material accounting policies**

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements.

3-1 **Basis of consolidation**

Subsidiaries

The consolidated financial statements of the Group incorporate the financial statements of the Parent Company and entities (including special purpose entities) controlled by the Parent Company (its subsidiaries).

Control is achieved when the Group (i) has power over the investee, (ii) is exposed, or has rights, to variable returns from its involvement with the investee, and (iii) has the ability to use its power to affect its returns. The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Group has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Group considers all relevant facts and circumstances in assessing whether or not the Group's voting rights in an investee are sufficient to give it power, including:

- The size of the Group's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- Potential voting rights held by the Group, other vote holders or other parties;
- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the Group has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statements of profit or loss and comprehensive income from the date the Group gains control until the date when the Group ceases to control the subsidiary. Non-controlling interests (NCIs) in subsidiaries are identified separately from the Group's equity therein and are initially measured as described in accounting policy 4-3 of business combinations below.

Profit or loss and each component of other comprehensive income are attributed to the owners of the Parent Company and to the non-controlling interests. Total comprehensive income of subsidiaries is attributed to the owners of the Parent Company and to the non-controlling interests even if this results in the non-controlling interests having a (deficit balance).

When necessary, adjustments are made to the financial statements of a group entity to bring its accounting policies into line with the Group's accounting policies.

All intra-group assets and liabilities, equity, income, expenses, and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Transactions eliminated on consolidation

Intra-group balances, and any unrealized income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealized gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Company's interest in the investee. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

3-2 Foreign currency

Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currency at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. In general currency gain or loss are recognized in the profit and loss statement.

3-3 Equity accounted investees

Companies under joint control are companies over which the group exercises control jointly with another party. Joint control is in place when decisions on main activities require the unanimous consent of the controlling parties. Investments under joint control entities are presented in the consolidated financial statements using the equity method so that initial recognition is recognized at cost including costs associated with the acquisition and the subsequent measurement in the consolidated financial statements increases or decreases the carrying amount of the investment by the Group's share of profit or loss.

3-4 Financial instruments

3-4-1 Financial assets

Classification:

The Group classified its financial assets into the following measurement categories:

- Financial assets at fair value through profit or loss or through other comprehensive income, and
- Financial assets measured at amortized cost.

The classification depends on the Company's business model for managing those financial assets and the contractual terms of the cash flows.

Recognition and derecognition:

The normal way of buying and selling financial assets, on the trade date, which is the date on which the Group has a commitment to buy or sell the financial asset. A financial asset is derecognized when the contractual rights to receive cash flows from the financial asset expire, or those rights are transferred in a transaction in which substantially all the risks and rewards of ownership of the financial asset have been transferred.

Measurement:

On initial recognition, the Group measures the financial asset at its fair value plus or minus, in the case of a financial asset not at fair value through profit or loss statement, transaction costs directly attributable to the acquisition of the financial asset. Transaction costs of financial assets at fair value through profit or loss are expensed in the statement of profit or loss.

Embedded financial assets are considered entirely embedded derivatives when determining whether their cash flows are solely payments of principal and interest.

Debt instruments:

The measurement of debt instruments depends on the company's business for managing the asset and characteristics of cash flow of the asset, there are three measurement categories by which the Group classifies debt instruments:

- Amortized cost: Assets held to maturity date to collect contractual cash flows, where those cash flows represent only payment of original amount and interest, are measured at amortized cost. Interest income from these financial assets is included in financing income using the interest rate method.

Any gains or losses resulting from the disposal of investments are recognized directly in the statement of profit or loss, and they are classified under other income / (expenses). Impairment losses are presented as a separate item in the statement of profit or loss.

- **Fair value through other comprehensive income:** Assets held for the purpose of collecting contractual cash flows and also for the purpose of selling financial assets, where the cash flows of assets represent only payment of original amount and interest, are measured at fair value through other comprehensive income. Changes in carrying amount are taken into other comprehensive income, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses, which are recognized in the statement of profit or loss.

When the financial asset is disposed of, the cumulative gain or loss previously recognized in other comprehensive income from equity is reclassified to profit or loss and recognized in other income/(expenses). Interest income from these financial assets is included in financing income using the interest rate method, and impairment expense is presented as a separate item in the statement of profit or loss.

- **Fair value through profit or loss:** Assets that do not meet the criteria for depreciated cost or fair value through other comprehensive income are measured at fair value through profit or loss. Gains or losses on investment in debt instruments that are subsequently measured at fair value through profit or loss are recognized in profit or loss and are presented as a separate item in the statement of profit or losses in the period in which they arise.

Equity instruments

The Group subsequently measures all investments in equity instruments at fair value. When the company's management chooses to present the fair value gains and losses on investments in equity instruments in the statement of other comprehensive income, it is not subsequently reclassified to the statement of profit or loss after disposal of the investment. Dividends from these investments continue to be recognized in the statement of profit or loss as other income when the Company's right to receive dividends is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in other income/(expenses) in the statement of profit or loss. Impairment losses (and reversals of impairment losses) on investments in equity instruments that are measured at fair value through other comprehensive income are not recognized separately from other changes in fair value.

Impairment:

The Group assesses the expected credit losses associated with the investment in debt instruments, which are carried at amortized cost and fair value through other comprehensive income. Where the applied impairment methodology depends on whether there is a significant deterioration in the credit risk of customers, the Group applies the simplified approach allowed by Egyptian Accounting Standard no. 47, which requires recognizing expected losses over the life of the initial recognition of customers.

3-4-2 Financial liabilities and equity instruments issued by the Group

Classification as debt or equity

Financial instruments are classified as either financial liabilities or equity in accordance with the substance of the contractual arrangement at the date of issuance of these instruments.

Equity instruments

Equity instruments represent any contract that gives the Group the right to the net assets of an entity after deducting all of its obligations.

Equity instruments issued by the Group are recorded at the value of the proceeds received or the net value of the assets transferred, deduct the costs of issuance directly attributable to the transaction.

Financial liabilities

Financial liabilities are classified as either financial liabilities “at fair value through profit or loss” or other financial liabilities.

Other financial liabilities

The Group has classified its financial liabilities as trade payables, due to related parties' borrowings and other credit balances, which are initially measured at fair value, net of transaction costs and are subsequently measured at amortized cost using the effective interest method, with interest expense recognized on an effective yield basis.

The effective interest rate is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period.

The effective interest rate is the rate that exactly discounts the estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

3-4-3 De-recognition of financial instruments

The Group derecognizes a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognize the financial asset and recognizes a collateralized borrowing for the proceeds received.

Debtors

Debtors are financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are recognised initially at fair value plus any directly attributable transaction costs. Generally, short-duration trade and other receivables with no stated interest rate are stated at their nominal value (original invoice amount) less an allowance for any doubtful debts.

Debtors comprise cash and cash equivalents, and trade and other receivables.

Non-derivative financial liabilities

The Company initially recognizes debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated as at fair value through profit or loss) are recognized initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument. The Company derecognises a financial liability when its contractual obligations are discharged, cancelled, or expire.

The Company classifies non – derivative financial liabilities into the other financial liabilities' category. Such financial liabilities are recognised initially at the fair value plus any directly attributable transaction costs. After initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities comprise loans and borrowings, bank overdrafts, and trade and other payables. Generally, trade payables are recorded at their nominal value.

Bank overdrafts that are repayable on demand and form an integral part of the Company's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits with original maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments.

3-5 Goodwill

Recognition & Measurement

Goodwill arises from acquisition of subsidiaries. Goodwill is initially measured at its cost, being the excess of the cost of the business combination over the Group's interest in the net fair value of identifiable assets, liabilities and contingent liabilities. After initial recognition, the group measures acquired goodwill at cost less impairment losses. Recognized goodwill impairment losses are not subsequently reversed. Goodwill is not amortized.

3-6 Property, plant and equipment

Recognition and measurement

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses (note 14).

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and capitalized borrowing costs.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

The gain and loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and is recognized net within other income/other expenses in profit or loss.

Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced component is derecognized. The costs of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred.

Depreciation

Depreciation is recognized in profit or loss on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Land is not depreciated.

The estimated useful lives are as follows:

Description	Estimated useful life (Years)
Buildings & Constructions	13.3- 50
Machinery & Equipment	More than 1 year -13
Transportation & Transport Vehicles	5- 8
Tools	3 – 10
Empty plastic containers & pallets	5
Display Refg.'s	5 years
Wells	25 or Wells useful life
Office equipment & Furniture	More than 1 year -10 years
Computers	3.33-5

Depreciation commences when the fixed asset is completed and made available for use. The depreciation method, useful life and residual value are reviewed at each reporting date and adjusted as appropriate.

3-7 Projects under construction

Expenditures incurred on purchasing and constructing fixed assets are initially recorded in projects under construction until the asset is completed and becomes ready for use. Upon the completion of the assets, all related costs are transferred to fixed assets. Projects under construction are measured at cost less accumulated impairment losses (note no. 15). No depreciation is charged until the project is completed and transferred to fixed assets.

Impairment of Non-financial assets

The carrying amounts of the Company's non-financial assets, other than biological assets, investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives, the recoverable amount is tested annually for impairment.

An impairment loss is recognized if the carrying amount of an asset or cash – generating unit (CGU) exceeds its recoverable amount.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generate cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGU.

Impairment losses are recognized in profit or loss. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3-8 Government grants

The company government grant is in the form of a loan at below prevailing market interest rate. The differences of the interest rates is initially recognized as deferred income and then recorded in the profit or loss in other income according to a regular systematic base over the loan period.

3-9 Plant wealth and Biological assets

Biological assets are measured by fair value less cost to sell unless the fair value cannot be measured reliably. If the fair value cannot be measured reliably, the biological assets acquired during the Financial Year are presented according to their cost at the date of acquisition. Also biological assets which are internally grown are presented at cost of breeding or growth until commercial production (called the increase in the value of the biological assets), less accumulated depreciation and accumulated impairment loss, if any. The cost of small bio-assets is determined by the cost of breeding or growth according to the age group. These young ones are also not consumed. The biological assets are depreciated on a straight-line basis to their estimated residual values over periods, as summarized below.

Cows	4 years
Orange trees	35 Years

3-10 ROU

Items of ROU are measured at cost less accumulated amortization and accumulated impairment losses. Amortization is recognized in profit or loss on a straight-line basis over the estimated useful lives or the lease term which ever is less

3-11 Lease Contracts

Operating lease contracts

The company recognizes, at the commencement date of each lease, a right-of-use asset and a corresponding lease liability measured at the present value of unpaid lease payments discounted using the interest rate implicit in the lease or the company's incremental borrowing rate. Lease payments include fixed payments, variable payments dependent on an index or rate, residual value guarantees, purchase options reasonably certain to be exercised, and termination penalties, where applicable. Right-of-use assets are initially measured at cost and depreciated on a straight-line basis over the shorter of the lease term or the useful life of the asset.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company incremental borrowing rate. Generally, the Company uses the incremental borrowing rate as the discount rate.

The Company determines the incremental borrowing rate by obtaining interest rates from several external financing sources and making certain adjustments to reflect rent terms and the leased asset.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments including fixed payments in its substance.
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as of the commencement date.
- Amounts expected to be payable under a residual value guarantee.
- The exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

Short-term Leases and Low-value Asset Leases

Short-term leases are leases with a lease term of 12 months or less at the commencement date and that do not contain a purchase option.

Leases of low-value assets represent assets that are individually of low value and are considered immaterial to the company's financial position as a whole.

Payments related to short-term leases and leases of low-value assets are recognized as an expense on a straight-line basis over the lease term in the statement of profit or loss.

Extension & Termination

In determining the lease term, management considers all relevant facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option.

Extension options (or periods after termination options) are included in the lease term when the company is reasonably certain to exercise the extension option or not to exercise the termination option.

The company reassess the lease term if there is a significant event or change in circumstances that is within its control and affects its assessment.

Finance leases contracts (sale and lease back):

If an entity (the lessee) transfers an asset to another entity (the lessor) and re-leases the asset the entity must determine whether the asset is being accounted for as a sale transaction on that asset or not.

In case the transfer of the asset is not a sale transaction

The lessee must continue to recognize the transferred asset and must recognize a financial liability equal to the proceeds of the transfer.

3-12 Inventories

Inventories of raw materials, supplies, packing materials and spare parts are measured at the lower cost or net realizable value. The cost of inventories is based on the weighted average principle, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Net realizable value is the estimated selling price, in the ordinary course of business, less estimated costs of the completion and selling expenses.

The inventory is measured at the lower of cost, which is determined based on the cost of last process reached, or net realizable value.

Finished production is measured at the lower manufacturing cost or net realizable value. The manufacturing cost comprises raw materials, direct labor, and cost includes an appropriate share of overheads based on normal operating capacity.

3-13 Defined contribution plans

The Company contributes to the government social insurance system for the benefits of its personnel in accordance with the social insurance Law No. 79 of 1975 and its amendments. Under this Law the employees and the employers contribute into the system on a fixed percentage – of- salaries basis. The Company's contributions are recognized in the income statement using the accrual basis of accounting. The company's obligation in respect of employees' pensions is confined to the amount of contributions.

3-14 Provisions

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

3-15 Revenue

Sales of goods

Revenue for sale of goods is recognized based on the transaction price of the received or receivable payment. The transaction price is determined considering returns, trade discounts and volume rebates. Revenue is recognized in the income statement when pervasive evidence exists of the settlement of contractual performance obligation by transfer of goods to the customer. Pervasive evidence usually exists in the form of an executed sales agreement. Settlement of the performance obligation has pervasively occurred when control over the goods has been transferred to the customer, associated costs and possible return of goods can then be estimated reliably and there is no continuing control or involvement with the goods.

Discounts are recognized as a reduction of revenues when they will probably be granted, and the discounts amount can be measured reliably. When discounts are granted over past performance obligations, a provision is recognized in the balance sheet. In case a discount will be granted over future performance obligations, a contract liability will be recognized.

No revenue is recognized if there is significant uncertainty regarding the collectability of the consideration or the associated costs or expected sales returns, or where the company retains continuing managerial involvement or effective control over the goods.

Revenue is measured based on the consideration specified in the contract with a customer.

Determination of the transaction price

The company determines the transaction price in its contracts with customers. In making this determination, the company estimates the effect of any variable consideration in the contract, such as discounts, rebates or penalties, and the existence of any significant financing component or any non-cash consideration specified in the contract.

Export subsidy revenue

Government subsidies on export sales are recognized as a percentage of the value of exported goods when there is appropriate assurance that the company will deserve support and all the necessary conditions for obtaining support are met.

3-16 Finance income and finance costs

Finance income comprises interest income on funds invested. Interest income is recognized as it accrues in profit or loss, using the effective interest method.

Finance costs comprise interest expense on borrowings, fair value losses on financial assets at fair value through profit or loss, impairment losses recognized on financial assets.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3-17 Income tax

Current tax

Current tax is recognized in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity. Current tax is the expected tax payable on the taxable income for the period, using tax rates enacted or substantially enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the reporting date.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized at the next years.

3-18 Non-Current Assets Held for Sale

Non-current assets (or disposal group) are classified as held for sale when their carrying amount is expected to be recovered principally through sale rather than through continuing use.

Upon Classification, such assets are measured at the lower of their carrying amount and fair value less costs to sell. Any resulting impairment loss is recognized in profit or loss.

Assets classified as held for sale are not depreciated or amortized and are presented separately in the statement of financial position.

3-19 Legal reserve

According to the Companies Law requirements and the statutes of the Company, 5% of the annual net profit shall be transferred to a legal reserve until the accumulated reserve reaches 50% of the issued share capital. The reserve is un-distributable; however, it can be used to increase the share capital or to offset losses. If the reserve falls below the defined level (50% of the issued share capital), then the Company is required to resume setting aside 5% of the annual profit until it reaches 50% of the issued share capital.

3-20 Employee Termination benefits

When the company is committed clearly-without having the possibility of cancellation – a formal detailed plan to either finish the work before the normal retirement date or to provide end of service benefits as a result of resignations (voluntary) / left the work voluntary according to law (14) of 2025 and related Egyptian Laws.

3-21 End of service benefits

When the company is committed clearly-without having the possibility of cancellation – a formal detailed plan to either finish the work before the normal retirement date (Voluntary resignations / Voluntary termination of employment) , in accordance with Egyptian laws No.(14) of 2025 and the related regulations and policies approved by the company .

3-22 Segmentation reporting

A segment is a group of associated assets and processes that are characterized by risks and rewards that differ from those of other segments or within a same economic environment with risks and rewards that are related to other segments operating in a different economic environment. All the operating results of the operating segments are reviewed regularly by the Group's business leaders , where the Group makes decisions about the resources allocated to the segments and assesses their performance, which provides detailed financial information.

The group has (3)operational segments, which represent segments for which financial reporting is provided to high management. These reports present different products and services and are managed separately because they require different technology and marketing strategies. The operation of each sector is reported below:

Segmentation reports

Dairy sectors

Juice & concentrate sector

Other sectors

Operations

Manufacture and sell dairy products & its derivatives

Manufacture and sell various products of juice & fruit concentrates

Produce agriculture crops in- addition to livestock farm that produce dairy product and sell to dairy sector

4- Determination of fair value

A group of the Company's accounting policies and disclosures require the determination of fair value, for both financial and non- financial assets and liabilities.

The fair value of financial assets is determined based on the current purchase prices of those assets, while the fair value of financial liabilities is determined based on the current prices at which those liabilities could be settled.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

When the discounted cashflow method is used as a valuation technique, future cash flows are estimated based on the best estimates of management. The discount rate used is determined with reference to the prevailing market rate at the date of the financial statements for similar financial instruments in terms of nature and terms.

Disclosures are provided in the notes to the separate financial statements regarding assets and liabilities whenever possible, as well as any additional information about the assumptions used in determining fair value in the notes related to those assets and liabilities.

The carrying amount of the company's monetary instruments measured at amortized cost approximates their fair value.

When measuring the fair value of an asset or a liability, the company uses observable market data the extent possible.

Thus, the Group categorizes the fair values into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Level 1	Quoted prices (unadjusted) in active markets for identical assets or liabilities.
Level 2	Inputs other than the quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
Level 3	Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

- If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.
- Transfers between levels of the fair value hierarchy are recognized at the end of the reporting year during which the change has occurred.
- The carrying amount of the Company's financial instruments measured at amortized cost approximates their fair value.

5- Cost of sales

	31/12/2025	31/12/2024
	L.E	L.E
Operating expenses and wages	22 017 481 492	16 500 683 681
Changes in inventory	815 825 207	183 905 840
Depreciation	270 269 048	228 327 103
Reversal of inventory write-down	(13 692)	-
	23 103 562 055	16 912 916 624

6- Other operating income

	31/12/2025	31/12/2024
	L.E	L.E
Export support revenues	62 521 274	157 842 618
Capital gains (losses)	8 213 374	89 628 064
Reversal of decrease in cash	2 263 889	-
Reversal of decrease in Fixed Asset	7 585 785	10 679 293
Revenue from sale of scrap and waste	49 141 686	33 637 500
Reversal of no longer required provision	91 178 364	-
Profits from selling cows	46 311 098	30 325 947
Comprehensive health insurance	47 432 115	-
Other revenues	7 974 610	3 181 084
Government grant revenues	3 015 905	7 643 865
	325 638 100	332 938 371

7- Selling and Distribution expenses

	31/12/2025	31/12/2024
	L.E	L.E
Advertising expenses	634 720 147	569 877 532
Salaries and wages	855 178 437	648 421 815
Cost of replaced items	250 013 436	200 357 822
Depreciation	166 344 909	87 943 216
Vehicles expenses	263 555 117	205 091 099
Shipping & export expenses	245 457 310	202 273 089
Rent*	25 210 353	20 508 529
Temporary labor contractors	110 786 035	67 832 756
Others	185 521 963	157 363 373
	2 736 787 707	2 159 669 231

* This expense is represented in the rental value of short-term leases, which are exempted from processing as a right of use asset in accordance with the requirements of Egyptian Accounting Standard No. (49) Lease Contracts.

8- General and administrative expenses

	<u>31/12/2025</u>	<u>31/12/2024</u>
	L.E	L.E
Salaries and wages	368 414 037	288 446 218
Depreciation expense	40 895 795	24 990 260
Rent expense*	34 025 810	24 298 160
Subscription fees and licenses	139 070 583	105 389 423
Repair and maintenance expenses	18 372 530	17 616 736
Cars insurance	16 434 422	32 451 861
End of service expenses	33 730 659	50 204 033
BOD Allowances and bonus (34-3)	1 755 000	907 750
Consulting fees	7 945 448	15 507 972
Transportation Expenses	28 535 432	16 394 000
Consulting Expenses	31 534 452	18 502 796
Research and Development	16 043 639	1 030 201
Bank Fees	17 452 963	-
Donations	29 901 894	28 222 470
Other administrative expenses	47 013 543	35 239 277
	<u>831 126 207</u>	<u>659 201 157</u>

9- Other expenses

	<u>31/12/2025</u>	<u>31/12/2024</u>
	L.E	L.E
Real estate tax	1 420 835	1 868 609
Provision for Claims	4 622 054	50 640 294
Health insurance contribution	60 832 988	114 399 237
Impairment of assets	-	933 583
Inventory impairment loss	-	8 129 318
Impairment of cash and cash equivalents	-	5 849 366
Others	5 596 875	25 888 437
	<u>72 472 752</u>	<u>207 708 844</u>

10- Net finance cost

	<u>31/12/2025</u>	<u>31/12/2024</u>
	L.E	L.E
Interest and finance costs	1 202 777 312	801 963 424
Credit Interest	(111 532 236)	(45 198 872)
Net (loss) from foreign currency exchange	77 548 855	(160 336 394)
	<u>1 168 793 931</u>	<u>596 428 158</u>

11 Segmentation reports**11-1 Segmentation reports for the financial year ended 31 December 2025**

The segmentation reports was prepared on an activity segments basis, the primary report for the activity segments was prepared in accordance with the organizational and managerial chart of the Company
Activity segmentations results include a direct participation unit in each sector activity.

The primary report for activity segmentations:

Revenues and expenses according to activity segmentat as follows:

	Activity Segments			
	Dairy sector	Concentrates & Juices sector	Other Segments	Total
	L.E	L.E	L.E	L.E
	12/31/2025	12/31/2025	12/31/2025	12/31/2025
Total sales	<u>42 284 181 007</u>	<u>13 527 185 413</u>	<u>1 282 669 646</u>	<u>57 094 036 066</u>
Sales between segments	(20 044 909 168)	(5 958 014 588)	(1 106 666 087)	(27 109 589 844)
Net Sales	22 239 271 839	7 569 170 825	176 003 558	29 984 446 222
COGS, SG&A	<u>(19 872 862 215)</u>	<u>(6 807 689 875)</u>	<u>(63 396 631)</u>	<u>(26 743 948 721)</u>
Other operating income	<u>257 275 337</u>	<u>132 732 053</u>	<u>(57 212 797)</u>	<u>332 794 593</u>
Finance and investment expenses	(861 593 389)	(282 753 586)	(24 446 956)	(1 168 793 931)
Net profit before tax	1 762 091 572	611 459 418	30 947 174	2 404 498 163
Taxes	<u>(362 314 245)</u>	<u>(125 725 848)</u>	<u>(6 363 234)</u>	<u>(494 403 327)</u>
	<u>1 399 777 326</u>	<u>485 733 570</u>	<u>24 583 939</u>	<u>1 910 094 835</u>
<u>Other Information</u>				
Depreciation	<u>342 985 736</u>	<u>102 814 151</u>	<u>31 709 863</u>	<u>477 509 751</u>
Total Assets	<u>9 481 264 279</u>	<u>7 179 986 541</u>	<u>1 748 971 081</u>	<u>18 410 221 901</u>
Total Liabilities	<u>7 036 065 468</u>	<u>3 248 213 114</u>	<u>93 399 099</u>	<u>10 377 677 682</u>

* The Group operates in one geographical sector - Arab Republic of Egypt - Operating revenues primarily result from activities related to the foodstuffs which are recorded at a point in time when control is transferred to the client.

11 Segmentation reports

11-2 Segmentation reports for the financial year ended 31 December 2024

The segmentation reports was prepared on an activity segments basis, the primary report for the activity segments was prepared in accordance Activity segmentations results include a direct participation unit in each sector activity.

The primary report for activity segmentations:

Revenues and expenses according to activity segmentat as follows:

	Activity Segments			
	Dairy sector	Concentrates & Juices sector	Other Segments	Total
	L.E	L.E	L.E	L.E
	12/31/2024	12/31/2024	12/31/2024	12/31/2024
Total sales	31 580 529 773	12 333 634 878	1 302 076 912	45 216 241 563
Sales between segments	(15 114 651 738)	(4 815 060 061)	(983 913 715)	(20 913 625 515)
Net Sales	16 465 878 035	7 518 574 817	318 163 197	24 302 616 048
COGS, SG&A	(14 334 930 019)	(5 334 894 777)	(272 752 109)	(19 942 576 904)
Other operating income	142 651 393	177 753 161	12 533 817	332 938 371
Finance and investment expenses	(813 172 564)	(302 706 916)	(253 129)	(1116 132 609)
Net profit before tax	1 460 426 845	2 058 726 285	57 691 776	3 576 844 906
Taxes	(337 360 260)	(485 036 295)	(19 053 834)	(841 450 390)
	1 123 066 585	1 573 689 990	38 637 942	2 735 394 516
<u>Other Information</u>				
Depreciation	232 048 536	79 169 754	30 042 289	341 260 579
Assets	7 516 476 151	5 282 830 252	791 156 220	13 590 462 624
Liabilities	4 913 643 306	2 272 977 089	64 517 759	7 251 138 154

* The Group operates in one geographical sector - Arab Republic of Egypt - Operating revenues primarily result from activities related to the food which are recognized at a point in time when control is transferred to the customer.

11 Segmentation reports

11-3 Revenues from Segmentation reports for the financial year ended 31 December 2025

Revenues according to activity segmentat as follows:

Activity Segments

	31/12/2025	31/12/2024
	L.E	L.E
Dairy sector	15 310 403 407	11 644 214 726
Refrigeration sector	6 928 868 432	4 821 663 309
Juices sector	6 254 520 103	4 526 237 856
Concentrates	1 314 650 721	2 992 336 960
Distribution to others	176 003 558	318 163 197
Total	29 984 446 222	24 302 616 048

12 Equity accounted investees

Name of the investee company	Share percentage	Current assets	Total assets	Current liabilities	Total liabilities	Carrying amount of investment
	%	L.E	L.E	L.E	L.E	L.E
Arju Company For food Industrial*	99.75%	-	-	-	-	-
Balance as of 31 December 2025		-	-	-	-	-
Arju Company For food Industrial*	50.75%	20 079 566	20 079 566	2 054 014	2 054 014	18 025 552
Balance as of 31 December 2024		20 079 566	20 079 566	2 054 014	2 054 014	18 025 552

* On 30 November 2021, the Board of Directors of Juhayna Company, at the request of Arla Company, decided to cancel the partnership contracts concluded between Arju Company and other companies, as well as approved the liquidation of the company, but no extraordinary general assembly was called to approve this resolution .The Board of Directors of Juhayna Company on 18 February 2024 approved the contract concluded with the foreign shareholder, according to which the foreign shareholder assigns yet his participation shares to Juhayna Food Industries Company on Arju Company free of charge. The legal procedures for transferring these shares to the company have not been completed yet. The Parties agreed that the sale and distribution of products between Arla and Tiba(distributing company) will be continued under new distribution agreement . Juhayna Food Industries haven't obtained the shares in Arju transferred to its name yet . The current agreement to sell Arla share in Arju do not include voting arrangement or proxy arrangement hence Juhayna Food Industries assess that it cannot exercise control without the shares transferred in it .

<i>Equity accounting investees movement</i>	2025/12/31	2024/12/31
<i>Opening balance</i>	18 025 552	15 670 070
<i>Group share in year profits</i>	(18 025 552)	2 355 482
<i>Ending balance</i>	-	18 025 552

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Notes to the consolidated financial statements for the financial year ended 31 December 2025

13- Investment measured at amortized cost

1-13 Financial Investments at Amortized Cost – Short-term Treasury Bills

	31Dec 2025	31Dec 2024
Held-to-Maturity Treasury Bills –181–Day	87 034 350	–
Held-to-Maturity Treasury Bills –271–Day	229 578 709	–
Held-to-Maturity Treasury Bills –352–Day	20 002 496	–
Held-to-Maturity Treasury Bills –355–Day	88 485 100	–
Held-to-Maturity Treasury Bills –360–Day	99 997 970	–
	525 098 624	–
Accrued Interest on Investments at Amortized Cost	12 672 652	–
	537 771 276	–

- Treasury Bills with a nominal value of EGP 537, 771, 276 at an interest rate of 23%

2-13 Financial Investments at Amortized Cost – Long-term Treasury Bonds

	31Dec 2025	31Dec 2024
Investment measured at amortized cost	101 720 570	–
Transaction Costs	6 104 066	–
	107 824 636	–
Accrued Interest on Investments at Amortized Cost	2 121 950	–
	109 946 586	–

**** Debt Instruments At Amortized Cost – Fixed Return Listed in Market**

The Financial asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows. The objective of the business model is to retain the financial assets to collect contractual cash flows representing the principal amount invested and the related interest income.

Sales are considered an incidental and exceptional event for the purpose of this model, and in accordance with the conditions set out in the standard : which relate to the principal amount of the investment and the related interest income.

- Deterioration in the creditworthiness of the issuer of the financial instrument.
- Low level of sales in terms of value, as the Bank's business model objective does not permit, when applicable, the disposal of these instruments before their contractual maturity, except within the limits allowed by the standard, namely (sales that are insignificant in value, infrequent, or close to maturity).
- Clear documentation should be maintained to support any sale and its compliance with the standard .

According to Prime Minister Decree No.4575 of 2023, debt instruments issued by the Egyptian government, as well as current accounts held with Egyptian banks in local currency, are exempt from the recognition and measurement of expected credit losses.

13 Property, plant and equipment

Description	Land	Buildings & Constructions	Machinery & Equipment	Transportation & transport vehicles	Tools	Empty plastic containers & Palettes	Display refrigerators	Wells	Office furniture & equipment	Computers	Total
	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.	L.E.
Cost as at 1/1/2024	183 500 802	1 668 365 028	2 944 189 106	432 675 624	194 224 032	87 593 240	95 543 065	39 738 984	56 599 691	170 284 601	5 872 714 173
Additions of the year	120 000 000	32 507 869	331 421 483	272 137 516	56 213 875	40 503 460	260 932 444	-	6 474 679	24 120 088	1144 311 414
Disposals of the year	(190 350)	(5 516 855)	(6 573 382)	(18 462 270)	(169 405)	(15 448 380)	(1 932 555)	-	(49 278)	(56 306)	(48 398 781)
Cost as of 31/12/2024	303 310 452	1 695 356 042	3 269 037 207	686 350 870	250 268 502	112 648 320	354 542 954	39 738 984	63 025 092	194 348 383	6 968 626 806
Additions during the year*	237 247 665	4 110 629	133 641 722	47 620 402	53 112 075	35 910 000	190 832 432	-	11 188 209	27 354 294	741 017 428
Disposals during the year	-	(922 237)	(26 002 183)	(5 760 860)	(7 103 661)	(4 927 812)	(3 021 961)	-	(612 244)	(28 722 098)	(77 073 056)
transfer from PUC	24 852 664	109 984 945	697 451 192	132 926 673	15 086 955	-	-	-	809 382	47,367,232	1 028 479 042
Revaluation Adjustments of Fixed Assets at Acquisition Date	2 382 082	7 631 100	30 241 732	11 084	907 092	-	-	-	-	-	41 173 090
Cost as of 31/12/2025	567 792 863	1 816 160 479	4 104 369 671	861 148 169	312 270 962	143 630 508	542 353 425	39 738 984	74 410 439	240 347 811	8 702 223 310
Accumulated depreciation as of 1/1/2024	-	359 264 457	1 698 692 690	245 600 630	118 185 111	56 722 836	86 357 192	15 713 068	30 602 227	151 627 721	2 762 765 932
Depreciation of the year	-	39 113 588	184 139 067	40 225 497	17 035 735	19 233 687	21 404 563	1 489 634	4 468 129	14 150 679	341 260 579
Accumulated depreciation of disposals of the year	-	(3 191 486)	(6 355 670)	(18 188 006)	(169 405)	(13 944 843)	(1 927 494)	-	(49 278)	(56 306)	(43 882 488)
Accumulated depreciation as of 31/12/2024	-	395 186 559	1 876 476 087	267 638 121	135 051 441	62 011 680	105 834 261	17 202 702	35 021 078	165 722 094	3 060 144 023
Depreciation of the year	-	36 325 900	222 677 999	73 027 427	24 129 699	23 152 574	71 762 607	1 489 634	4 631 313	20 312 598	477 509 751
Accumulated depreciation of disposals of the year	-	(127 109)	(21 540 922)	(2 216 616)	(7 026 390)	(4 927 811)	(3 017 993)	-	(564 452)	-	(68 135 907)
consolidation elimination	-	37 974	4,316,286	-	-	-	-	-	-	-	4 354 260
Revaluation Adjustments of Fixed Assets at Acquisition Date	-	7 631 100	30 241 732	11,084.00	907,092	-	-	-	-	-	38 791 008
Accumulated depreciation as of 31/12/2025	-	439 054 424	2 112 171 182	338 460 016	153 061 843	80 236 443	174 578 874	18 692 336	39 087 939	157 320 078	3 512 663 135
Fixed assets impairment as of 31/12/2025	10 354 591	4 204 889	(791 429)	-	-	-	-	229 929	-	-	13 997 980
Net book value as of 31/12/2025	557 438 271	1 372 901 166	1 992 989 918	522 688 153	159 209 120	63 394 066	367 774 551	20 816 719	35 322 500	83 027 733	5 175 562 197
Impairment of fixed assets 31/12/2024	10 354 591	4 407 390	6 591 855	-	-	-	-	229 929	-	-	21 583 765
Net book value as of 31/12/2024	292 955 861	1 295 762 094	1 385 969 265	418 712 749	115 217 061	50 636 640	248 708 693	22 306 353	28 004 014	28 626 289	3 886 899 018

Fully depreciated assets is amount to L.E 1 233 467 783 LE in 31 December 2025 (amount to L.E 1 112 693 303 LE in 31 December 2024)and still used .

The depreciation expense for the year / year distributed as follow:- year ended in Year ended in

	2025/12/31	31/12/2024
Cost of sales	270 269 048	55 163 382
Selling and distribution expenses	166 344 909	16 672 792
General and administrative	40 895 795	5 468 570
	477 509 751	77 304 744

15- Projects under construction

	Nature	% of completion	Timeline	31/12/2025 L.E	31/12/2024 L.E
Buildings and constructions in progress	Building	65%-85%	Within one year	711 218 490	530 862 152
Machineries under installation	Machinery	65%-85%	Within one year	1 978 047 020	935 189 085
Computer software	Software Programs	85%-95%	Within one year	32 910 416	44 819 304
Transport vehicles under preparation	Cars		Within one year	-	1 075 020
				2 722 175 926	1 511 945 561

15-1 Movement of projects under construction

	Opening Balance	Additions	Capitalized	Ending Balance
Building	530 862 152	390 350 697	(209 994 358)	711 218 490
Machinery	935 189 085	1 674 226 441	(631 368 506)	1 978 047 020
Computer Software	44 819 304	35 458 344	(47 367 232)	32 910 416
Transportation	1 075 020	131 851 653	(132 926 673)	-
	1 511 945 561	2 231 887 135	(1 021 656 769)	2 722 175 926

16- Biological assets- Plant wealth**16-1 Plant wealth - productive**

	31/12/2025 L.E	31/12/2024 L.E
Cost at the beginning of the period /year	70 323 096	72 215 496
Additions during the period /year	-	1 440 436
Selling of harvest during the period /year	-	(3 332 837)
Cost at end of the period /year	70 323 096	70 323 095
Less:		
Accumulated depreciation at beginning of the period /year	(6 409 024)	(4 461 406)
Amortization of productive plant wealth during the period /year	(1 935 727)	(1 947 617)
Accumulated depreciation at end of the period /year	(8 344 751)	(6 409 023)
Net	61 978 345	63 914 072

16-2 Plant wealth – unproductive

	31/12/2025 L.E	31/12/2024 L.E
Balance at the beginning of period/year	56 792 920	512 395
Additions	44 538 194	56 280 523
Balance at end of the period/year	101 331 114	56 792 918

Juhayna Food Industries
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Translated from Arabic

Notes to the consolidated financial statements for the financial year ended 31 December 2025

			Total	
	Biological assets (Flock of dairy livestock - productive)	Biological assets (Flock of dairy livestock - unproductive)	12/31/2025	31/12/2024
	L.E	L.E	L.E	L.E
<u>17-Biological assets</u>				
Amount of flock of livestock at the beginning of the year	230 734 484	172 014 225	402 748 709	307 226 644
<u>Adding:</u>				
Transferred from biological assets (Flock of dairy livestock - unproductive)	124 978 550	(124 978 550)	-	-
<u>Births of flock</u>				
Female	-	30 815 000	30 815 000	28 598 200
Capital cost during drying -off	4 858 074	152 882 105	157 740 179	151 511 783
	360 571 108	230 732 780	591 303 888	487 336 627
Biological assets sales	54 177 890	16 206 122	70 384 012	64 761 099
The death of live stock losses	11 953 019	7 310 916	19 263 935	19 826 818
Cost of flock of livestock as of 30 June	66 130 909	23 517 038	89 647 947	84 587 917
	294 440 199	207 215 742	501 655 941	402 748 710
Accumulated depreciation at the Beginning of the year	77 751 069	-	77 751 069	70 378 909
Depreciation of the year	44 594 715	-	44 594 715	33 384 102
Accumulated depreciation of disposals of sales case	(27 484 587)	-	(27 484 587)	(21 629 006)
Accumulated depreciation of disposals of death case	(4 389 328)	-	(4 389 328)	(4 382 936)
Accumulated depreciation as of year end	90 471 869	-	90 471 869	77 751 069
Net Balance of flock of livestock as of year end	203 968 330	207 215 742	411 184 072	324 997 641

Births of flock are measured at fair value less costs to sell, and any increase or decrease in their fair value at the balance sheet date is recognized in profit or loss.
The company's management evaluates dairy cattle at cost due to the absence of an active market that can be relied upon to determine their fair value.

17-2 Other Biological wealth

	31/12/2025	31/12/2024
	L.E	L.E
Agriculture	65 673 116	42 460 256
Births of male	989 016	1 027 165
	<u>66 662 132</u>	<u>43 487 421</u>

18-Tax status

Pre-Merger Period

A: Juhayna Food Industries Company (the Merging Company)

1- Corporate Income Tax:

The Company submits tax returns within the legal due dates in accordance with the provisions of Income Tax Law No. 91 of 2005 and its amendments, and Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Period from commencement of activity on 17/01/1996 to 31/12/2019:

The competent tax authority conducted a tax inspection for this period. All tax disputes were resolved, and the Company paid the due taxes.

Years 2019–2025:

Tax returns were submitted on time. The Company has not been requested for inspection by the tax authority.

2- Payroll Tax:

Period from commencement of activity on 17/01/1996 to 31/12/2022:

The competent tax authority inspected this period. All tax disputes were resolved, and the Company paid the due taxes.

Years 2023–2025:

Quarterly adjustments and returns are submitted within the legal due dates.

3- Stamp Duty:

Period from commencement of activity on 17/01/1996 to 31/12/2022:

The competent tax authority inspected this period. All tax disputes were resolved, and the Company paid the due taxes.

Years 2023–2025:

Monthly returns are submitted on time in accordance with the law. No inspection have been conducted.

4- Sales Tax / Value-Added Tax (VAT):

Period from commencement of activity on 17/01/1996 to 31/12/2020:

The competent tax authority inspected this period. All tax disputes were fully resolved, and the Company paid the due taxes.

Years 2021–2025:

Tax returns are submitted on time. No inspection has been requested.

5- Tax Withheld at Source:

The Company regularly submits quarterly returns within the legal due dates.

B: International Modern Food Industries Company

1- Corporate Income Tax:

Commencement of Activity:

- The Company commenced operations on 31/05/2008 as stated in its tax card.
- The company is subject to Law No. 8 of 1997 (Investment Guarantees and Incentives Law), and was exempt from corporate income tax until 31/12/2018.
- The Company submits tax returns in accordance with Income Tax Law No. 91 of 2005 and its amendments, and Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Years 2009–2014:

- The Large Taxpayers Center conducted a book inspection for these years and according to a re- inspection memorandum dated 20/11/2019, the automatic tax exemption certificate issued by the competent authority (General Authority for Investment) was not acknowledged.
- The tax authority issued a tax assessment (Form 19 Taxes), and the Company filed an objection within the legal timeframe.
- The dispute was referred to the Tax Appeal Committee under appeal No. 580/2022, which, in its session dated 30/08/2022, upheld the authority's decision not to recognize the tax exemption.
- Although the committee's decision lacked sound legal justification, it nonetheless obligates the Company to pay the tax, even if contested in court, as per the last paragraph of Article 64 of Law No. 206 of 2020 (Unified Tax Procedures Law).
- Based on the legal advisor's report submitted to us, the Company is entitled to tax exemption.
 - The Company submitted a request on 13 December 2022 to bring the case before the Dispute Resolution Committee, and the file is currently under discussion and review by the Committee.

Years 2015–2019:

A provisional assessment (Form 19) was received and objected to within legal time limits. A decision was issued to perform an actual inspection.

Years 2019–2025:

Tax returns were submitted on time. The Company has not been selected for inspection.

2- Payroll Tax:

Period from 31/05/2008 to 31/12/2022:

The tax authority completed its inspection for this period. Disputes were resolved and the Company paid the due taxes.

Years 2023–2025:

The Company submits quarterly returns and the annual reconciliation within the legal due dates.

3- Stamp Duty:

Period from commencement of activity until 31/12/2022:

The Company was inspected and paid the due tax.

Years 2023–2025:

No inspection has been requested by the authority.

4- Sales Tax / Value-Added Tax (VAT):

The Company submits monthly VAT returns on time.

Period from commencement of activity until 31/12/2020:

The tax authority inspected the Company and the due differences were paid.

Years 2021–2025:

VAT returns are submitted on time and no inspection has been conducted.

5- Withholding Tax:

The Company regularly submits quarterly returns within the legal due dates.

C: The Egyptian Dairy Products Company

1- Corporate Income Tax:

The Company submits tax returns within the legal due dates in accordance with Income Tax Law No. (91) of 2005 and its amendments, and the Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Period from the start of operations on 03/10/2001 to 31/12/2004:

The competent tax authority inspected the Company for this period. Tax disputes were resolved and the due taxes were paid.

Years 2005–2008:

The tax authority has not inspected the Company for this period. Tax returns are submitted on time in accordance with the law.

Years 2009–2017:

The Company was inspected and paid all due amounts.

Years 2018–2025:

The Company submit its tax returns on time and has not been selected for inspection.

2- Payroll Tax:

Period from the start of operations on 03/10/2001 to 31/12/2022:

The competent tax authority inspected the Company for this period. Disputes were resolved and the due taxes were paid.

Years 2023–2025 :

The Company submits quarterly returns and annual reconciliations within the legal due dates in accordance with tax law.

3- Stamp Duty:

Period from the start of operations on 03/10/2001 to 31/12/2020:

The Company was inspected and paid the due stamp duty.

Years 2023–2025:

Preparation for the tax examination is currently in progress.

4- Sales Tax / Value-Added Tax (VAT):

Period from the start of operations on 03/10/2001 to 31/12/2022:

The Company was inspected and settled all dues up to 31/12/2022.

Years 2023–2025:

The Company submits its VAT returns on time and has not been selected for inspection.

5- Withholding Tax:

The Company regularly submits quarterly returns within the legal due dates.

D: Egyptian Food Industries Company "Egyfood"

1. Corporate Income Tax

The company submits tax returns on time in accordance with the provisions of the Income Tax Law No. 91 of 2005 and its amendments, as well as the Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Period from the beginning of activity until 2005:

The company was not notified with any tax forms during the year and was not selected as part of the inspection sample by the relevant tax authority.

Years 2006–2012:

These years were inspected and the due tax amounts were paid.

Years 2013–2019:

These years were inspected, and the company received the results of the re-inspection. The company filed an objection, and the dispute is currently under review by the Internal Committee.

Years 2020–2025:

Tax returns are submitted on time, and the company has not been requested for inspection.

2. Payroll Tax

Period from the beginning of activity until 2022:

Inspected and the due amounts have been paid.

Years 2023–2025:

Monthly returns are submitted on time in accordance with the law, and no inspection has been conducted.

3. Stamp Duty

Years 2021/2022:

Inspected and settled.

Years 2023–2025:

Monthly returns are submitted on time in accordance with the law, and no inspection has been conducted.

4. Sales Tax / Value Added Tax (VAT)

The company submits monthly tax returns on time.

Period from the beginning of activity until 2022:

Inspected and settled.

Years 2023–2025:

The Company submits its quarterly tax returns within the statutory deadlines, and no tax inspection has been conducted to date.

5. Withholding Tax

The company submits quarterly withholding tax returns regularly and on time.

E: Al Marwa Food Industries Company

1. Corporate Income Tax

Period from the beginning of activity in 13/8/1999 until 13/12/2022:

The tax authority completed its inspection for this period. Disputes were resolved and the Company paid the due taxes.

Years 2023–2025:

The company submits tax returns on time in accordance with the provisions of the Income Tax Law No. 91 of 2005 and its amendments, as well as the Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Payroll Tax

The company submits quarterly returns and will submit the annual reconciliation on time.

2. Stamp Duty

The company pays the due tax in accordance with applicable laws and regulations.

3. Sales Tax / Value Added Tax (VAT)

Monthly tax returns are submitted on time in accordance with the law.

4. Withholding Tax

The company pays the withheld amounts deducted from counterparties to the Tax Authority on time.

Merging Company: Juhayna Food Industries Company

Post-Merger Period

Juhayna Food Industries Company (the merging company) merged as of **27/02/2025** with:

- International Company for Modern Food Industries
- Egyptian Company for Dairy Products
- Egyptian Food Industries Company " Egyfood"
- Al Marwa Food Industries Company

The merged companies (International Company for Modern Food Industries, Egyptian Company for Dairy Products, Egyptian Food Industries " Egyfood", and Al Marwa Food Industries) were dissolved and officially closed on 27/02/2025. Accordingly, the following outlines the tax position of Juhayna Food Industries Company.

1. Corporate Income Tax

The company submits its tax returns on time in accordance with the provisions of Income Tax Law No. 91 of 2005 and its amendments, as well as the Unified Tax Procedures Law No. 206 of 2020 and its amendments.

Period from start of activity on 17/01/1996 to 31/12/2018:

The competent tax office inspected the company for this period, and all tax disputes were resolved. The company paid the due taxes.

Years 2019–2025:

Tax returns were submitted on time, and the company has not been selected for inspection by the tax authority.

2. Payroll Tax

Period from the start of activity on 17/01/1996 to 31/12/2022:

The competent tax authority inspected the company for this period, resolved any tax disputes, and the company paid the due taxes.

Years 2023–2025:

The company submits both quarterly returns and the annual reconciliation in accordance with legal due dates.

3. Stamp Duty

Period from the start of activity on 17/01/1996 to 31/12/2022:

Inspected by the competent authority, disputes were resolved, and the company paid the due stamp duty.

Years 2023–2025:

Monthly returns are submitted on time as per the law, and the company has not been inspected

4. Sales Tax / Value Added Tax (VAT)

Period from the start of activity on 17/01/1996 to 31/12/2020:

Inspected by the tax authority, all tax disputes were resolved, and the company paid the due VAT.

Years 2021–2025:

VAT returns are submitted on time, and the company has not been requested for inspection.

5. Withholding Tax

The company regularly submits its quarterly withholding tax returns on time in compliance with the legal requirements.

Tax position of subsidiaries

Tiba Company's tax position

1- Corporate Income Tax:

The company is subject to the provisions of Income Tax Law No. 91 of 2005. The company submits its tax returns for the financial years and pays the tax due based on those returns.

The period from the beginning of the activity until 2008

The company was not requested for inspection from beginning of its activity

Years from 2009 to 2012

The company was examined for these years and the dispute was ended by the internal committee and payment.

Years from 2013 until 2017

The company was examined for these years and the dispute was ended by the tax appeals committees .

Years from 2018 until 2019

The company was examined for these years and the dispute was ended by the internal committee and payment.

Years from 2020 until 2024

The tax return was submitted within the legal due dates and the company was not requested for examination by the Tax authority.

Second: Salaries and wages tax

The period from the beginning of activity until 2019

Performed and settled.

Years from 2020 until 2022

Performed and settled.

Years from 2023 until 2024

The company submits quarterly returns as well as settlement within the legal due dates in accordance with the tax law.

Third: Stamp tax

The period from the beginning of activity until 2020

The competent office examined the company for this period, the tax disputes were ended, and the company paid the due tax.

Years 2021/2024

The company was not requested for inspection by the tax authority.

Fourth: Sales tax/value added tax

The period from the beginning of activity until 2019

The competent office examined the company for this period, the tax disputes were ended, and the company paid the due tax.

Years 2020/2022

Performed and settled until 2023.

Years 2025

Declarations were submitted within the legal due dates.

Fifth: Withholding Tax:

The Company regularly submits quarterly returns within the legal due dates

EAD Company's tax position

1- Corporate Income Tax:

The company have tax exemption from the tax stipulated in Law No.91 of 2005 as follows: -

Land reclamation, processing and cultivation activity in accordance with Article (3 section 1 of the Executive Regulations of the Law).

Livestock breeding and fattening pens and the milk they produce, provided that the activity of trading milk and its products is not carried out independently in accordance with Articles (3, Section 1) and (4, Section 1) of the executive regulations of the law.

Domestic production in accordance with Article (3, Section 2 of the Executive Regulations of the Law), while the rest of the birds are subject to all types of taxes.

The company is exempt from taxes for a period of ten years, starting from 3/20/2011 until 3/19/2021, in accordance with the exemption issued by the tax card on the activity of reclaiming and equipping lands with basic facilities that make them suitable for cultivation and cultivating reclaimed lands to the exclusion of other activities.

No examination was conducted for the years from the beginning of activity until 2010, as the company began activity on 6/30/2008, and examination procedures are underway until 2010.

The company was notified of an estimated form (19) for the years 2011 to 2012 and it was objected to within the legal due dates.

The company was notified of an estimated form (36) for the years 2013 to 2014 and it was objected to within the legal due dates.

The company was notified of an estimated form (19) for the years 2015 to 2018 and it was objected to within the legal due dates.

The annual tax returns for the years 2019 to 2025 were filed within the legal due dates in accordance with the provisions of Law 91/2005.

B - Stamp tax

The years from the beginning of activity until 2017 were examined and payment was made.

The examination has been conducted, and the results of the examination have been objected to, and the date of the internal committee is being determined for the years 2018 and 2019.

An estimated form (19) and objection have been received, and the dispute is being resolved in the internal committee for the year 2020.

Tax returns are submitted within the legal due dates in accordance with the law for the years 2021, 2022, 2023, 2024, 2025 and the examination has not been completed.

T- salaries tax and its equivalents

The company was examined for the years from the beginning of activity until 12/31/2015 and payment was made for that year.

Tax returns are submitted and not examined from 2016 until 2025.

D – Withholding tax

The company supplies the deducted amounts to the Tax Authority in accordance with the law within the legal due dates.

C - Value added tax

The company was checked for the years from the beginning of the activity until 31/12/2019 and payment was made for that year 2014 and we are currently awaiting the result 2015/2019.

The company submits monthly returns within the legal due dates and pays the tax due on them and the inspection has not taken place yet (2020/2025).

EAL Company's tax position

A- Corporation tax

Enmaa Livestock Company was established in accordance with the provisions of Investment Law No.8 of 1997 and Law No.91 of 2005 and the beginning of activity on 3/15/2012 and the date of issuance of the tax card 3/19/2012.

The tax return was submitted until 2025 within the legal time in accordance with the provisions of Law No.91 of 2005& 2019

The company is exempt from corporate tax for the period from 11/3/2019 until 11/2/2029.

B- Payroll Tax

The company was inspected for the years from the beginning of activity until 12/31/2021 and payment was made for that period.

Quarterly returns as well as annual settlement are submitted within the legal due dates for the period from 2022 to 2025.

C- Value added tax

The company was examined for the years from the beginning of activity until August 2016 and payment was made for that period.

You did not request an examination for the years from 9/1/2016 until 2025.

The company submits the returns within the legal due dates and pays the tax due on them.

D- Stamp tax

The years from the beginning of activity until 31 December 2019 were examined and payment was made.

Declarations are submitted within the legal due dates, and the examination was not conducted for the period 2020 to 2025.

E- Withholding tax

The company supplies the amounts deducted from the dealing parties to the Tax Authority within the legal due dates.

EAR Company's tax position

A- Corporate Income Tax:

Enmaa Reclamation and Agriculture Company was established in accordance with the provisions of Investment Law No.8 of 1997 and Law No.91 of 2005 and the beginning of the activity on 3/15/2012 and the date of issuance of the tax card 3/19/2012.

The tax return was submitted until 2024 within the legal time limit, in accordance with the provisions of Law 91 of 2005.

B - Stamp tax

The stamp tax was checked from the beginning of the activity until December 31, 2019, the assessment was made and the due was paid.

The years from 2020 until 2025 have not been examined and the company submits monthly declarations within the legal due dates.

D-Payroll tax

Checked and paid from the beginning of the activity until December 31, 2019.

For the years 2020/2025, the company submits the quarterly declarations as well as the annual settlement within the established legal due dates.

E – Withholding tax

The company withholds the tax and supplies it to the General Administration of Deduction and Collection under the tax account on the forms prepared for this purpose within the legal due dates.

E- Value added tax

Checked and paid for the year from the beginning of the activity until 31 August 2016.

Did not request for examination for the years 1/9/2016 until 2025.

The company submits the returns within the legal time limits and pays the tax due on them.

19-Inventories

	31/12/2025	31/12/2024
	L.E	L.E
Raw materials	1 685 638 677	1 166 500 302
Packaging and packing materials	1 422 590 941	1 019 131 873
Finished goods	1 875 097 271	1 059 272 064
Consumables and miscellaneous supplies	752 291 463	623 396 191
Goods in transit - L/C's for goods purchase	80 125 869	308 770 492
	5 815 744 221	4 177 070 922

20-Trade and other receivables

	31/12/2025	31/12/2024
	L.E	L.E
Trade receivables	1 117 763 513	927 260 513
Less: Expected credit losses	(32 646 907)	(33 846 853)
	1 085 116 606	893 413 660
Suppliers – advance payments	377 552 041	113 891 401
Prepaid expenses	8 761 756	2 456 769
Export subsidy*	270 492 189	227 857 068
Customs Authority	143 655 397	167 267 530
Tax Authority	13 970 625	42 536 078
Trade discounts from suppliers	77 867 443	-
Deposits with others	40 841 163	36 484 028
Debtors of fixed assets	9 614 181	-
Debtors- payment for PP&E (under recollection)	-	10 214 181
Other debit balances	20 765 885	28 400 664
	2 048 637 286	1 522 521 379
Less: Impairment in other debit balances	(14 732 000)	(20 688 546)
	2 033 905 286	1 501 832 833

* The company collect 71 227 932 ECL during the period from January 1, 2025, to 31 December, 2025 compared to an amount of 66 million EGP during the year 2024.

21-Cash and cash equivalent

	31/12/2025	31/12/2024
	L.E	L.E
Banks – current accounts	946 747 711	1 455 298 494
Cash on hand	5 379 509	5 540 650
Time deposits	143 214 000	356 254 822
Cash and cash equivalent	1 095 341 220	1 817 093 966
Less: impairment on cash	(3 585 478)	(5 849 367)
	1 091 755 742	1 811 244 599

22- Share capital

	31/12/2025	31/12/2024
	L.E	L.E
Authorized capital	5 000 000 000	5 000 000 000
Issued & paid-up capital (divided into 1 176 756 353 shares with nominal value L. E 1 each)	1 176 756 353	941 405 082

The shareholder's structure on 31 December 2025 is as follows:

Shareholder	No. of shares 31/12/2025	Owner percentage 31/12/2025	No. of shares 31/12/2024	Owner percentage 31/12/2024
PHARON INVESTMENT LIMITED	589 164 000	50.07%	471 331 200	50.07%
Baladna Company	191 208 995	16.25%	154 247 362	16.38%
RIMCO E G T INVESTMENT LLC	128 121 786	10.89%	102 497 429	10.89%
Other Shareholders	268 261 572	22.79%	213 329 091	22.66%
	1 176 756 353	100%	941 405 082	100%

On August 21, 2025, the Extraordinary General Assembly resolved to increase the company's issued capital within the limits of the authorized capital, from EGP 941,405,082 to EGP 1,176,756,353, representing an increase of EGP 235,351,271.

The full amount of the amount of the increase of EGP 235,351,271 (Two hundred thirty-five million three hundred fifty -one thousand two hundred seventy-one Egyptian pounds) was fully funded from merger reserve.

Accordingly, the issued and paid-up capital of the company became 1,176,756,353 shares (one billion, one hundred seventy-six million, seven hundred fifty-six thousand, three hundred fifty-three fully paid shares as at the financial statements date

23-1 General reserve

The balance of general reserve is as follows: -

	31/12/2025 L.E	31/12/2024 L.E
Collected from issuance premium of 205 972 632 shares during the year 2010	-	999 379 210
Less:		
i. Nominal value of issued shares with a premium	-	(205 972 632)
ii. Issuance fees	-	(38 507 164)
iii. Legal reserve formed to reach 50 % of paid-up capital	-	(350 398 732)
iv. Difference between the nominal value and the cost of own shares cancelled on 5 February 2012.	-	(73 580 254)
General reserve	-	330 920 428

-The balance has been added to the merger reserve.

-The general reserve has been added to the merger reserve as a result of the merger of industrial companies.

23-2 Merger Reserve

Pursuant to the resolution of the Extraordinary General Assembly of the company held on December 26, 2024, and the approval of the Financial Regulatory Authority dated January 13, 2025, as well as the decision of the General Authority for Investment and Free Zones No. 56/2 of 2025 approving the license to merge the subsidiary companies into Juhayna Company, and the determination of the issued share capital of the company at EGP 941 405 082 distributed over 941 405 082 shares with a par value of EGP 1 per share after the merger, The difference between the issued capital and the total net equity of the shareholders of both the merging company and the merged companies, amounting to EGP 2 573 404 723, shall be recorded under reserves in the merging company, On August 21, 2025, the Extraordinary General Assembly resolved to increase the company's issued capital within the limits of the authorized capital, from EGP 941,405,082 to EGP 1,176,756,353, representing an increase of EGP 235,351,271 deducted from Merger reserve, detailed as follows:

	Egyptian Pound (EGP)
Share of the merging company in Modern International Food Industries Company – as per the merger report	649 083 757
Share of the merging company in Egyptian Dairy Products Company – as per the merger report	599 415 866
Share of the merging company in Egyptian Food Industries Company “Egyfood” – as per the merger report	556 403 652
Share of the merging company (as investor) in Al Marwa Food Industries Company – as per the merger report	713 343 646
Change in the net equity of the merging company	53 912 525
Total non-controlling interests in the merged companies	1 245 277
	2 573 404 723
Deducted from share capital increase in accordance with the Extraordinary General Assembly resolution dated 21 August 2025	(235 351 271)
	2 338 053 452

23-3 Other Reserves

The balance represents other reserves resulting from adjustments made by the General Authority for Investment and Free Zones to preserve the book value of the assets and liabilities of both the acquiring and acquired companies, in accordance with the report of the committee formed to verify the accuracy of the preliminary valuation of the in-kind shares under assessment. As of 31 December 2025, the balance amounted to EGP 259 470 145.

	<u>L.E</u>
Fixed Assets	96 504 213
Projects Under Construction	2 396 461
Other Debit Balances	64 442 600
Goodwill	97 092 890
Due from Related Parties	2 442 940
Impact of Land Revaluation in Al Marwa Food Industries Company	2 382 082
Impact of Intercompany Investments among Merged Companies	(5 791 041)
	259 470 145

24-Loans

24-1 The long-term loans and short-term that are granted to the group companies are as follow:

	Long term loans		Total
	Current portion L.E	Non-current portion L.E	L.E
Commercial International Bank (CIB)	167 209 185	1 542 076 348	1 709 285 533
Attijari wafa Bank	11 587 331	-	11 587 331
Balance at 31/12/2025	178 796 516	1 542 076 348	1 720 872 864
Balance at 31/12/2024	271 503 629	578 066 880	849 570 509

These loans are subject to variable interest rates and guaranteed by promissory notes from group companies and the interest rate is (corridor rate from CBE + variable interest rate) according to each loan. Loan matures from 4 to 5 years.

24-2 Adjustments on the movement of borrowing to access the net cash financing activities.

	<u>31/12/2025</u> <u>EGP</u>	<u>31/12/2024</u> <u>EGP</u>
Balance of borrowing at 1 January	849 570 509	147 599 744
Withdrawals from Loans	2 146 860 518	752 261 341
Paid from loans	(1 231 324 960)	(57 934 141)
FX differences	(48 056 661)	-
Depreciation of deferred income (note 37)	3 823 459	7 643 565
Balance of loans and financial liabilities as of 31 December	1 720 872 864	849 570 509

25-Bank credit facilities

The balance of the item, amounting to EGP 5 330 641 186 as of December 31, 2025 (compared to EGP 2 909 495 624 as of December 31, 2024), represents the utilization of credit facilities granted to the Group's companies by certain banks, totaling approximately EGP 5.5 billion at a variable interest rate. These facilities are secured by various guarantees obtained by the banks that provided these facilities to the Group's companies.

26-Provisions

A- Provision for claims

Description	<u>Balance at</u> <u>01/01/2025</u> L.E	<u>Formed</u> <u>during the</u> <u>year</u> L.E	<u>No longer</u> <u>require for the</u> <u>year</u> L.E	<u>Used during</u> <u>the year</u> L.E	<u>Balance at</u> <u>31/12/2025</u> L.E
Provision for claims	228 224 163	4 622 054	(91 178 364)	(11 069 449)	130 598 404

- The provisions represent the value of claims for legal, tax and other claims that can be estimated reliably related to the company's activities. The management reviews these provisions yearly and adjusts the amount of the provision according to the latest coordination of developments, discussions and agreements.
- The information usually disclosed regarding provisions according to Egyptian accounting standards has not been disclosed because the company management believes that doing so may significantly affect the final settlements of those potential claims.

B- Movement of Impairment

	<u>Balance as of</u> <u>1/1/2025</u>	<u>Formed during</u> <u>the year</u>	<u>Used during</u> <u>the year</u>	<u>Balance as of</u> <u>31/12/2025</u>
	L.E	L.E	L.E	L.E
Impairment of other receivable	20 688 546	-	(5 956 546)	14 732 000
Impairment of trade receivables	33 846 853	-	(1 199 946)	32 646 907
Impairment of Cash and cash equivalent	5 849 367	-	(2 263 889)	3 585 478
	<u>60 384 766</u>	<u>-</u>	<u>9 420 381</u>	<u>50 964 385</u>

27-Creditors and other credit balances

	<u>31/12/2025</u> <u>L.E</u>	<u>31/12/2024</u> <u>L.E</u>
Suppliers	1 635 912 451	1 351 832 430
Notes Payables	500 000	500 000
Dividends payable	77 545 729	2 655 015
Accrued expenses	271 982 033	332 240 128
Tax authority	140 289 721	78 647 688
Deposits for others	13 469 750	12 444 517
Social Insurance Authority	7 061 276	9 574 030
Due to health insurance	130 607 394	149 195 642
Accrued interest	9 846 951	-
Advances from customers	31 178 896	49 409 706
Other credit balances	25 144 837	20 213 145
	<u>2 343 539 038</u>	<u>2 006 712 301</u>

28- Deferred tax liabilities

- Deferred tax liability amounted to L.E **509 294 125** at 31 December 2025, with LE **387 421 265** at 31 December 2024.

28-1 Deferred Tax liabilities

	<u>31/12/2025</u> <u>L.E</u>	<u>31/12/2024</u> <u>L.E</u>
Deferred tax liability (Lease Contracts)	20 305 196	14 858 116
Deferred tax liability from fixed assets	488 988 929	373 938 345
Deferred tax assets from unrealized foreign exchange	-	(1 375 196)
Net deferred tax liability	<u>509 294 125</u>	<u>387 421 265</u>

28-2 Income tax – current

	<u>31/12/2025</u> <u>L.E</u>	<u>31/12/2024</u> <u>L.E</u>
Income tax liability at the beginning of the period/year	834 874 242	353 400 759
Income tax expense (26-4)	485 841 473	779 474 208
Taxes paid during the period/year	(1 218 407 657)	(298 000 725)
Income tax liability at the end of the period/year	<u>102 308 058</u>	<u>834 874 242</u>
Withholding Tax Receivable	-	(122 711 672)
Income tax liability at the end of the period/year	<u>102 308 058</u>	<u>712 162 570</u>

28-3 Effective Tax Rate

	<u>2025/12/31</u>	<u>2024/12/31</u>
	L.E	L.E
Consolidated net profit before tax	2 404 498 163	3 576 844 906
Tax rate	22.5%	22.5%
Income tax calculated according to the tax rate (22.5%)	<u>541 012 087</u>	<u>804 790 104</u>
Tax settlements:		
Tax exemption	(302 430 871)	(35 571 598)
Non deductible expenses	<u>255 724 815</u>	<u>72 231 884</u>
Income tax according to the tax return	<u>494 403 328</u>	<u>841 450 390</u>
Effective tax rate	<u>20.6%</u>	<u>23.52%</u>

28-4 Income tax for the period

	<u>2025/12/31</u>	<u>2024/12/31</u>
	L.E	L.E
Current income tax	395 997 704	779 474 208
Deferred tax expense	<u>98 405 624</u>	<u>61 976 182</u>
	<u>494 403 328</u>	<u>841 450 390</u>

28-5 Unrecognized deferred tax asset

	<u>31/12/2025</u>	<u>31/12/2024</u>
Tax losses	11 938 802	7 062 415

- The company has not formed DTA for these losses due to the lack of appropriate assurance to benefit from these losses and future tax deductions.

29- Group companies

The following sets out the subsidiaries of Juhayna Food Industries Company controlled by the Company as at 31/12/2025 and the investment under joint control which are shown together with their respective contribution percentage held as at the financial position date.

Subsidiary Name	Contribution % 31/12/2025	Contribution % 31/12/2024	Country
Tiba For Trading & Distributing	99.90 %	99.90 %	Egypt
Inmaa for Agriculture Development Co. and Livestock	99.994 %	99.994 %	Egypt
Inmaa for Livestock	Indirect 99.862 %	Indirect 99.862 %	Egypt
Inmaa for Agriculture and improvement	Indirect 99.964 %	Indirect 99.964 %	Egypt
Arju Company for Food Industries	99.75 %	50.75 % under joint control	Egypt
<u>Merged Companies</u>			
Egyptian Co. for Dairy Products	-	100	Egypt
International Co. for Modern Food Industries	-	100	Egypt
The Egyptian Company for Food Industries "Egyfood"	-	100	Egypt
Al-Marwa for Food Industries	-	100	Egypt
<u>Under joint control</u>			

30-Financial instruments

Financial risk management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk.

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Board is responsible for developing and monitoring the Company's risk management policies.

The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Company's Board oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company. The Company's Board is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the B.O.D.

Credit risk

Credit risk is the risk of financial loss to the company if a customer or counterparty fails to meet its contractual obligations. It arises principally from trade receivables and financial investments.

Aging Category	Total Balance	Expected Credit Loss
Not due	818 545 464	823 128
Due from 1 to 120 days	264 054 160	9 140 056
Due more than 120 days	35 163 889	22 683 723
Total	1 117 763 513	32 646 907

Trade and other receivables

The company has dealt with a major client (related party), who in turn distributes credit risks to a number of clients with strong and stable financial positions. The company also deals with its clients through contracts and agreements signed with them. Additionally, the company (related party) reviews the credit limits granted to its clients periodically and obtains adequate collateral from its clients. A client is considered in default if the payment is delayed for 120 days.

Credit risk

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Note	Carrying amount	
		31/12/2025	31/12/2024
		L.E	L.E
Trade and other receivables	(20)	1 597 025 318	1 061 715 388
Cash	(21)	1 091 755 742	1 811 244 599
Related Parties	(33-1)	-	3 421 436

The Company assesses credit risk of its customers based on forward-looking information related to expected credit losses, including the evaluation of default risk using external sources and publicly available information, in addition to data derived from the company's historical experience and management judgment. Credit risk is measured using quantitative and qualitative approaches to assess customers' ability to meet their contractual obligations and is benchmarked against external credit rating sources.

Credit risk on receivable and bank balances is limited as:

- Cash balances and time deposits held with banks that have a credit rating ranging from B to BBB+.
- The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. These adjusted loss rates in the current year are similar to the effective loss rates observed in the prior year. The Group has identified the GDP, unemployment rate, inflation rate and interest rate of the countries in which it sells its goods and services to be the most relevant factors and accordingly adjusted the historical loss rates based on expected changes in these factors.

Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have enough liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company uses activity-based costing to cost its products and services, which assists it in monitoring cash flow requirements and optimizing its cash return on investments. Typically, the company ensures that it has sufficient cash on demand to meet expected operational expenses for a year of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters. In addition, the Company maintains the following lines of credit.

Banks - credit facilities in a principal amount of L.E 4 625 571 691 on which the interest is charged at a variable interest rate for facilities in Egyptian pound.

Liquidity risk

The liabilities on the group at reporting date of the consolidated statement of financial position are as follows:

31/12/2025

	Total book value	Contractual cash flows	6-12 months	1-5 years
Trade payables	1 635 912 451	1 635 912 451	1 635 912 451	-
Loans	1 720 872 864	2 312 198 133	284 508 950	2 027 689 184
Credit facilities	5 330 641 186	5 365 691 977	5 365 691 977	-
Lease liabilities	209 387 926	365 074 823	88 448 843	276 625 980

31/12/2024

	Total book value	Contractual cash flows	6-12 months	1-5 years
Trade payables	1 351 832 430	(532 020 090)	1 351 832 430	-
Loans	849 570 509	694 327 200	271 503 629	578 066 880
Credit facilities	2 909 495 624	1 813 265 968	2 909 495 624	-
Lease liabilities	151 528 608	18 803 993	67 487 158	84 041 450
Due to Related parties	-	(17 871 750)	-	-

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimising the return.

The Company incurs financial liabilities, in order to manage market risks. All such transactions are carried out within the guidelines set by the management.

Currency risk

The Company is exposed to currency risk on sales, purchases and borrowings that are denominated in a currency other than the respective functional currencies of the Company, primarily the L.E The currencies in which these transactions primarily are denominated are Euro, USD, and Swiss Francs (CHF).

In respect of other monetary assets and liabilities denominated in foreign currencies, the Company's policy is to ensure that its net exposure is kept to an acceptable level by buying or selling foreign currencies at spot rates when necessary to address short-term imbalances.

Foreign currency risk

Exposure to currency risk

The Group's exposure to foreign currency risk was as follows based on notional amounts:

	USD	Euro
Trade and other receivables	13 084 997	1 006 001
Cash and cash equivalents	16 522 490	1 555 354
Creditors and other credit balances	(28 960 413)	(5 281 429)
31 December 2025	647 074	(2 720 074)
31 December 2024	7 800 755	(747 117)

The following significant exchange rates applied during the year:

	Average rate		Closing Rate	
	31/12/2025	31/12/2024	31/12/2025	31/12/2024
USD	49.27	45.6	47.74	50.91
Euro	55.67	49.3	56.1	53

Sensitivity analysis

Any reasonably possible strengthening (weakness) of the EUR, USD or GBP/EGP 31 December by 10% would affect the measurement of financial instruments denominated in a foreign currency and affect profit or loss in the amounts set out below. This analysis assumes that all other variables particularly interest rates remain constant and ignore any influence of expected sales and purchases.

31 December 2025

10% Effect

USD	3 089 131
Euro	(15 256 895)

Interest rate risk

The Company adopts a policy of ensuring that its exposure to changes in interest rates on borrowings is on a fixed-rate basis, considering assets with exposure to changes in interest rates.

A reasonable possible change of 1% in interest rates at the reporting date could increase (decrease) equity and profit or loss by the amounts described below. This analysis assumes that all other variables particularly foreign exchange rates, remain constant.

The effect is in Egyptian pounds

Profit or Loss

	1% increase	1% decrease
31 December 2025 (variable interest rate)	70 515 140	(70 515 140)
31 December 2024 (variable interest rate)	37 590 661	(37 590 661)

Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. Capital consists of paid-up capital and retained earnings. The Board of Directors monitors the return on capital, as well as the level of dividends to shareholders.

	31/12/2025	31/12/2024
	L.E	L.E
Total liabilities	10 377 677 682	7 251 138 154
Less: cash and cash equivalent	(1 091 755 742)	(1 811 244 599)
Net debt	9 285 921 940	5 439 893 555
Total equity	8 032 544 219	6 339 324 470
Net debt to equity ratio	116%	86%

There were no changes in the company's approach to capital management during the period.

31-1 Liabilities arising from lease contracts.

- Lease contracts (Sale and lease back)

On 23/3/2016 the Company signed a contract regarding a land lease (including the building built there on), of land located on plot no. 21 of the Crazy water's corridor in Zayed City with a total area of 15 374.47 m². The contract terms became effective starting 24/3/2016. The following is a summary of the above-mentioned contract:

Description	Contract value		Contract year Months	Purchase value at end of contract L.E	Quarterly Installment value L.E
	Contractual value L.E	Accrued interest L.E			
Contract from 24/3/2016 to 25/12/2025	125 000 000	122 870 843	120	1	6 561 579

In accordance with the provisions of the transitional rules of the Egyptian Accounting Standard No. 49 of 2019 on leasing contracts, the initial application date of this standard is the beginning of the annual reporting year in which the Finance Leasing Law No. 95 of 1995 was amended and the Financial Leasing and Factoring Law No. 176 For the year 2018, in respect of leasing contracts which were subject to Law 95 of 1995 and were accounted for in accordance with IAS 20 (Accounting Standards and Standards for Financial Leasing Transactions).

Lease contract liabilities

	31/12/2025 L.E	31/12/2024 L.E
Liabilities from lease contracts current portion	-	23 722 416
	-	23 722 416

Lease contracts liabilities payment are as follows

	Payment of liability principal		Payment of accrued interest	
	31/12/2025 L.E	31/12/2024 L.E	31/12/2025 L.E	31/12/2024 L.E
Liabilities for one year	-	23 722 416	-	2 523 899

Operating Lease contracts liabilities

The group is renting buildings and stores, and this rent is performed individually, and each contract has it's special terms, the contracts year ranges from 1.5 to 10 years and some of these contracts has a term for extending the lease which provides more flexibility for the group with 14% implicit interest rate. During the period ended 31 December 2025 the group has been charged by L.E 25 294 702 as interest from leasing contracts.

Operating lease contract liability

	31/12/2025 L.E	31/12/2024 L.E
Liabilities from lease contracts-current portion	52 958 214	43 764 742
Liability from lease contracts non-current portion	156 429 712	84 041 450
Total	209 387 926	127 806 192

Payment of lease contracts liabilities are as follows:

	Payment of liability principal		Accrued interest	
	31/12/2025	31/12/2024	31/12/2025	31/12/2024
	L.E	L.E	L.E	L.E
Liabilities for one year	83 396 211	62 209 590	35 490 629	18 444 848
Liabilities between 2-5 years	247 540 344	116 623 988	109 324 364	35 075 059
Liabilities more than 5 years	34 138 268	2 976 222	10 871 904	483 701

31-2 Right of use assets

	31/12/2025	31/12/2024
	L.E	L.E
Buildings, warehouses, and stores	273 421 064	152 032 704
Accumulated amortization during the year	(88 999 734)	(58 994 000)
Net book value	184 421 330	93 038 704

32- Contingent Liabilities

The Contingent Liabilities are represented in IDC'S during the year ended 31 December 2025 and due after the that date amounting to L.E **458 538 302** which is due for payment during the period following the date of the consolidated financial statements.

The contingent tax liabilities related to group subsidiaries are disclosed in Note (17).

33- Capital commitments

The capital commitments related to setting up and acquiring fixed assets amounted to L.E **101 309 314** on 31/12/2025.

34 Related party transactions

The related parties are represented in the Group shareholders and companies in which they own directly or indirectly shares giving them significant influence or control over these companies.

The following is a summary of significant transactions concluded, during the year, between the Group and its related parties.

34 -1 Due from related parties

Company's name	Nature of transaction	Total value of transactions		Balance as at	
		31/12/2025	31/12/2024	31/12/2025	31/12/2024
		L.E	L.E	L.E	L.E
Arju Company for Food Industries (Equity accounted investees)	Current account	(3 421 436)	661 272	-	3 421 436
				-	3 421 436

34 -2 Due to related parties

Company's name	Nature of transaction	Total value of transactions		Balance as at	
		31/12/2025	31/12/2024	31/12/2025	31/12/2024
		L.E	L.E	L.E	L.E
Wakalex Company	Purchases	522 955 882	462 529 250	28 836 424	-
	Payments	(494 119 458)	(480 401 000)		
				28 836 424	-

34-3 Board of Director's remuneration

The total amount of attendance and transportation allowances received by members of the Board of Directors during the year is 14 755 000 Egyptian pounds, For 907 750 Egyptian pounds during the period end on 31/12/2025.

35- Goodwill

	<u>31/12/2025</u>	<u>31/12/2024</u>
	<u>L.E</u>	<u>L.E</u>
Goodwill resulting from acquiring the Egyptian Company for Dairy Products	46 433 934	46 433 934
Goodwill resulting from acquiring Al-Marwa for Food Industries Company	50 658 956	50 658 956
	<u>97 092 890</u>	<u>97 092 890</u>

Overview of the Company's Investments in the Subsidiaries That Were Merged

	<u>L.E</u>
Amount Paid to Acquire Investments in Subsidiaries	284 267 515
Investment Cost	113 011 535
The Difference Between the Amounts Paid to Acquire the Investments and the Value of the Investments was Allocated as Follows:	171 255 980
Goodwill	130 082 890
Increase in the Value of Fixed Assets in Al Marwa Food Industries Company	41 173 090
	<u>171 255 980</u>

It was allocated as follows:

(a) Goodwill at the Acquisition Date:

	<u>L.E</u>
Goodwill in the Egyptian Company for Dairy Products	79 423 934
Goodwill in Al Marwa Food Industries Company	50 658 956
Total Goodwill	130 082 890
Subsequent Impairment of Goodwill in the Egyptian Company for Dairy Products	(33 000 000)
	<u>97 082 890</u>

(b) Increase in the Value of Fixed Assets in Al Marwa Food Industries Company

	<u>L.E</u>
It was allocated as follows:	
Machinery and Equipment	30 241 732
Buildings, Constructions, and Utilities	7 631 100
Land	2 382 082
Tools and Instruments	907 092
Vehicles and Transportation Means	11 084
Total	41 173 090
Accumulated Depreciation of These Amounts as of the Merger Date	(38 791 008)
Net Amount (Representing Land Value Only)	<u>2 382 082</u>

Impairment of Goodwill

Goodwill is tested for impairment annually, or more frequently if there are indications of impairment. For cash-generating units (CGUs) to which goodwill has been allocated because of a business combination, the impairment test is performed by comparing the carrying amount of each CGU with its recoverable amount. The recoverable amount is determined based on the value in use calculation using cash flow projections derived from financial forecasts approved by senior management, covering a five-year period. A pre-tax discount rate is applied to the projected cashflows of the relevant CGUs, ranging from 20.9% to 26.3%.

For the terminal value, the Gordon growth model is applied to the cashflows of the final year of the forecast period, using a long-term growth rate of 3%. The value in use is most sensitive to changes in the assumptions relating to the pre-tax discount rate.

Management has determined the values assigned to each of the key assumptions based on the following:

(a) Sales growth assumption

Sales growth rate, representing the average annual growth rate over the expected five-year period, based on past performance and management's expectations for market development .

(b) Pre-tax Discount Rate

Pre-tax discount rate A discount rate, namely weighted average cost of capital (WACC), is applied for specific business areas based on assumptions regarding interest rates, tax rates and risk premiums and is recalculated to a before-tax rate ('Pre-tax discount rate').

The assumptions used in the value in use calculations, for which the recoverable amount is most sensitive, are follows:

Sensitivity to changes in assumptions – Egyptian Company for Dairy Products

The following assumptions are most sensitive to changes in key assumptions:

(a) Sales growth assumption

Sales growth during the forecast period has been estimated at a compound annual growth rate (CAGR) of 8%, assuming all other assumptions remain constant, the value in use is not significantly affected by reasonably possible changes in the pre-tax discount rate.

(b) Pre-tax Discount Rate

The pre-tax discount rate during the forecast period has been estimated at 20.9%. Assuming all other assumptions remain constant, the value in use is not significantly affected by reasonably possible changes in the pre-tax discount rate.

Sensitivity to changes in Assumptions- Al Marwa Food Industries Company

The following assumptions are the most sensitive to changes in the key assumptions:

(c) Sales Growth Assumption

Sales growth during the forecast period has been estimated at a compound annual growth rate (CAGR) of 3%. Assuming all other assumptions remain constant, the value in use is not significantly affected by reasonably possible changes in the compound annual growth rate.

(d) Pre-tax Discount Rate

The pre-tax discount rate during the forecast period has been estimated at 26.3%. Assuming all other assumptions remain constant, the value in use is not significantly affected by reasonably possible changes in the pre-tax discount rate.

36- Earnings per share

- (B) The Company presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period after reducing dividends to employees and BOD as follows :

	31/12/2025	31/12/2024
	<u>L.E</u>	<u>L.E</u>
Net profit for the period according to profit or loss statement	1 909 608 115	2 735 294 169
deduct		
Employees Profit Share	(264 517 998)	-
Board of Directors Remuneration	(13 000 000)	-
Net payable to shareholders	<u>1 632 090 117</u>	<u>2 735 294 169</u>
Weighted average to number of shares	<u>1 176 756 353</u>	<u>1 176 756 353</u>
EPS (L.E/Share)	1.38	2.32

- The distribution of employee profit share and the remuneration of the Board of Directors was approved in accordance with the resolution of the company's Ordinary General Assembly held on 21 August 2025.

-The weighted average number of shares was adjusted in accordance with the resolution of the Extraordinary General meeting of the company held on August 21, 2025.

37-Deferred government grants

The subsidiary of the group obtained a loan L.E 91.4 million loan from the Commercial International Bank (CIB) in August 2022 as part of 91.4 million the Central Bank of Egypt's initiative to support industrial companies, at an interest rate of 8%, which is lower than the prevailing market rate for a similar loan which equal average 19.25%. The difference between the two interest is recognized amounted to L.E 5 215 562 as follows:

- Deferred income – non-current Liabilities L.E 386 954
- Deferred income - current liabilities L.E 1 812 703
- Other income – income statement L.E 3 015 905 as of 31/12/2025 no income was recorded during the corresponding year (Note 6)

The following is a statement of the loan balances and deferred income of government grants:

	Less than one year <u>L.E</u>	More than one year <u>L.E</u>	Total <u>L.E</u>
Loan	22 850 000	22 850 000	45 700 000
Discount: Deferred (grant) obligations	(1 812 703)	(386 954)	(2 199 657)
Balance at 31/12/2025	<u>21 037 297</u>	<u>22 463 046</u>	<u>43 500 343</u>

38- Loss from FV Investment through P.L

During the period the group invested in listed shares as follows:

	No. of shares	31/12/2025 <u>EGP</u>	31/12/2024 <u>EGP</u>
Equity instruments included			
Buying of Shares	9 353 000	-	(831 200 397)
Selling of Shares	9 353 000	-	<u>309 140 464</u>
		<u>-</u>	<u>(522 059 933)</u>

39- Merger

The Extraordinary General Assembly of the Company, convened on 26 December 2024, approved the report of the committee formed by the decision of the Minister of Investment and International Cooperation No. 95 of 2018, issued under registration No. 1290 dated 10 November 2024 by the Economic Performance Sector of the General Authority for Investment and Free Zones, for the purpose of evaluating the net equity of both the merging company (Juhayna Food Industries Company) and the merged companies (International Company for Modern Food Industries, Egyptian Company for Dairy Products, Egyptian Company for Food Industries – Egyfood, and Al Marwa Company for Food Industries) at book value based on the financial statements of these companies as of 31 December 2023. This was recorded in the commercial register of the Company on 27 February 2025. Accordingly, the balances of the merged companies listed below were merged into the merging company on the same date.

<u>Income Statement</u>	<u>Amount in EGP</u>
	<u>From 1/1/2025</u>
	<u>To 27/2/2025</u>
Revenues	4 113 988 095
Cost of revenues	(3 162 634 260)
Gross profit	951 353 835
Other operating Income	59 435 853
General & Administrative expenses	(287 864 240)
Juhayna Expense allocation	(105 448 461)
Other operating Expenses	(8 203 160)
Total Expenses	(342 080 008)
Finance Income and Costs	(153 744 255)
Income tax expense	(89 843 769)
Deferred tax	(24 675 447)
Current and Deferred Income Tax Expense	(114 519 216)
Net profit	341 010 356

40- **New Editions and Amendments to Egyptian Accounting Standards**

on 3 March 2024, another decision was issued by the Prime Minister No. (636) of 2024 amending some other provisions of the Egyptian accounting standards, and the following is a summary of the most important of those amendments in Jan 1 2025 :

-Potential impact on the financial statements

The standards under study for application	Summary of the most significant amendments	Potential impact on the financial statements	Effective date
Egyptian Accounting Standard No. (50) "Insurance Contracts".	1-This standard determines the principles of recognition of insurance contracts falling within the scope of this standard, and determines their measurement, presentation, and disclosure. The objective of the standard is to ensure that the Company provides appropriate information that truthfully reflects those contracts. This information provides users of financial statements with the basis for assessing the impact of insurance contracts on the Company's financial position, financial performance, and cash flows. 2-Egyptian Accounting Standard No. (50) replaces and cancels Egyptian Accounting Standard No. 37 "Insurance Contracts". Any reference to Egyptian Accounting Standard No. (37) in other Egyptian Accounting Standards to be replaced by Egyptian Accounting Standard No. (50). 3-The following Egyptian Accounting Standards have been amended to comply with the requirements of the application of Egyptian Accounting Standard No. (50) "Insurance Contracts", as follows: - Egyptian Accounting Standard No. (10) "Fixed Assets ". - Egyptian Accounting Standard No. (23) "Intangible Assets". - Egyptian Accounting Standard No. (34) " Investment property ".	It was officially implemented during the period and there is no impact on the interim consolidated financial statements..	Egyptian Accounting Standard No. (50) is effective for annual financial years starting on or after July 1, 2024, and if the Egyptian Accounting Standard No. (50) shall be applied for an earlier year, the Company should disclose that fact.

Accounting Interpretation No. (2) "Carbon Reduction Certificates" The Prime Minister's decision No. 636 of 2024, issued on 3 March 2024	Carbon Credits Certificates: Are financial instruments subject to trading that represent units for reducing greenhouse gas emissions. Each unit represents one ton of equivalent carbon dioxide emissions and are issued in favor of the reduction project developer (owner/non-owner), after approval and verification in accordance with internationally recognized standards and methodologies for reducing carbon emissions, carried out by verification and certification bodies, whether local or international, registered in the list prepared by the Financial Regulatory Authority "FRA" for this purpose. Companies can use Carbon Credits Certificates to meet voluntary emissions reduction targets to achieve carbon trading or other targets, which are traded on the Voluntary Carbon Market "VCM".	It was officially implemented during the period and there is no impact on the consolidated interim financial statements.. It was officially implemented during the period and there is no impact on the consolidated interim financial statements.. It was officially implemented during the period and there is no impact on the consolidated interim financial statements.. It was officially implemented during the period and there is no impact on the interim consolidated financial statements..	The application starts on or after the first of January 2025, early adaption is allowed.
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